AMPLIFYING OUR REACH

Our communication amplifies our reach, enabling us to connect meaningfully and strategically position ourselves to achieve success. This resonance drives our impact, enabling us to adapt to change with precision and foresight.

Lion's roar can carry up to 8 kilometers, serving as a powerful tool for communication within its pride. It provides clarity in uncertainty, enables strategic positioning, and facilitates coordination. Similarly, mosaics have long been a form of expression, communicating complex ideas, fostering education, and offering a visual medium for storytelling contributing to a greater whole.

SECTION 2

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Integrated Stakeholder Engagement 62 | Materiality 74 | Designing Strategies for Long-term Sustainability 81 | Beyond 2025 96

CHAIRMAN'S REMARKS

<IR 4G>

Robust governance is not merely a compliance exercise for LBF; it is the bedrock of our operations and fundamental to creating sustainable value for all stakeholders. Our commitment in this regard is comprehensive, spanning both traditional risk management and proactive integration of Environmental, Social, and Governance (ESG) principles.

G A R D Prasanna
Chairman

A YEAR OF UNPRECEDENTED ACHIEVEMENT AND STRATEGIC STRENGTH

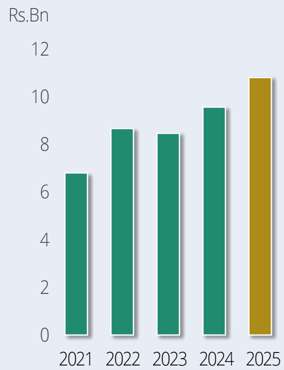
Financial Year 2024/25 was a landmark year for LB Finance PLC (LBF), marked by a commanding performance that culminated in our highest-ever profit after tax. This exceptional financial outcome was further complemented by significant expansion of our asset base and sustained strength and quality of our portfolio. These results are the direct consequence of our disciplined strategic execution, the prudent leveraging of a robust balance sheet to invest in key growth opportunities, and pivotal investments in technology, which have enhanced customer experience. Fundamentally, this success is underpinned by the unwavering passion, dedication, and perseverance of the LBF team.

CHAIRMAN'S REMARK - DIGITAL VERSIONS

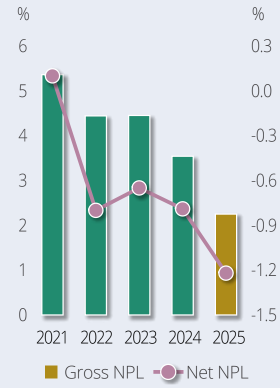
In English | In Sinhala | In Tamil

English AUDIO **06** | Sinhala AUDIO **07** | Tamil AUDIO **08**

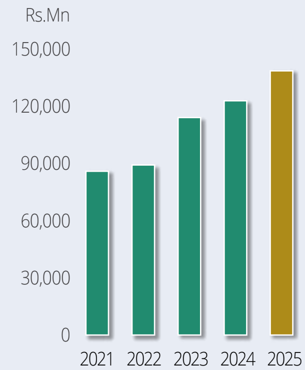
Profit After Tax



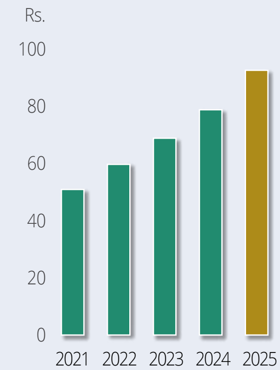
Gross and Net NPL Ratio



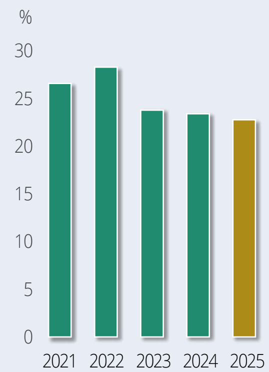
Customer Deposits



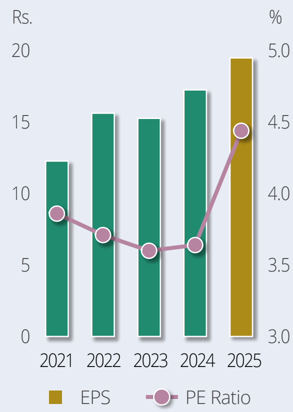
Net Asset Value per Share



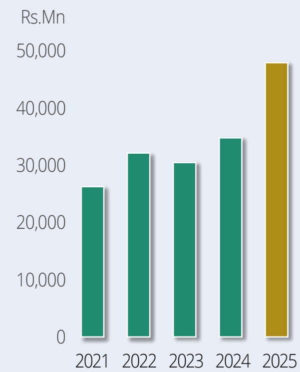
Return on Equity



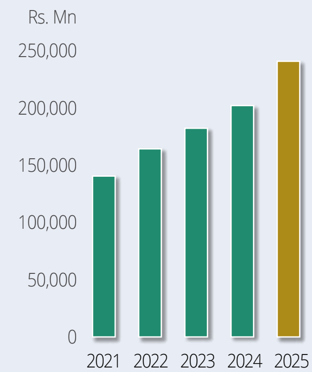
EPS and PE Ratio



Market Capitalisation



Total Assets



For over 54 years, LBF has been a potent force in Sri Lanka's economic and social progress. We have consistently fostered job creation, broadened financial inclusion, spearheaded innovation, and empowered communities, reshaping the financial landscape for individuals and businesses. This deep-rooted legacy provides the foundation for our continued leadership and impact.

NAVIGATING A DYNAMIC OPERATING ENVIRONMENT

The financial year unfolded within a complex yet increasingly stable environment. While we welcomed the trend towards a more predictable policy landscape after March 2024, which facilitated stable conditions for product pricing. These positives were balanced by heightened market competition, particularly due to regulatory changes enabling broader branch expansions across the financial services sector. Furthermore, macroeconomic pressures continued to pose challenges, notably impacting staff retention across the industry. While our staff attrition remained manageable and primarily linked to external factors, we navigated these conditions with resilience, ensuring our strategic agility remained paramount.

DELIVERING RECORD PERFORMANCE AND OPERATIONAL EXCELLENCE

Our focus on execution translated directly into tangible results. We exceeded our financial performance budget in FY 2024/25, delivering the highest business volumes and growth rate witnessed in the Company's history. This culminated in the record-breaking profit after tax of Rs. 10.80 billion, reflecting a 12.99% growth YoY.

Our rigorous operational management led to a significant reduction in our Non-Performing Loan (NPL) ratio to a historic low of 2.25% in the year under review, underscoring the effectiveness of our market recoveries and collection mechanisms. Moreover, we maintained healthy Key Performance Indicators (KPIs) across all operational facets and preserved margins despite the intense competitive pressures.

We undertook a comprehensive review and revitalisation of our ESG policy, including the development of a specific Climate Risk Policy, to ensure alignment with evolving expectations and sectoral risks. This proactive stance is further evidenced by the commencement of integrating SLFRS S1 and S2 sustainability and climate-related risk and opportunity management requirements

Our targeted growth strategies paid off, with approximately 35% business volume growth in specific areas, supported by strong customer loyalty, evidenced by 40-50% of new disbursements being directed towards existing customers.

Customer deposits reached Rs. 138.49 billion by 31 March 2025, marking a 12.78% YoY increase largely driven by fixed deposits. This outcome resulted from a strategic emphasis on fixed deposits to secure stable funding with favourable costs and enhance the maturity profile, capitalising on prevailing interest rates. High deposit renewal ratio and new depositor attraction highlighted strong customer confidence.

Our commitment to strengthening the Company and delivering value to our shareholders is reflected in the growth of our Equity. As of 31 March 2025, Equity reached Rs. 51.26 billion, a substantial increase of Rs. 7.63 billion, or 17.51% YoY. This robust growth is primarily attributable to the strong retained earnings generated from the year's record profitability. Crucially, this significant internal capital generation was achieved while consistently adhering to our dividend payout policy of 1/3 of profit, underscoring our ability to reinvest for future growth and provide attractive returns to our shareholders. As a result, the Board has proposed a final dividend of Rs. 4.25 per share, bringing the total dividend for the year (including the interim dividend of Rs. 2.25 per share) to Rs. 6.50 per share. This demonstrates our commitment to rewarding our shareholders for their ongoing trust and support. Consequently, the Company's capital adequacy remains comfortably above regulatory requirements, providing a strong and sufficient capital base to support our strategic expansion plans.

STRATEGIC MILESTONES AND FUTURE FOUNDATION

The financial year under review was also marked by strategic execution that strengthened our platform for future growth. We enhanced our branding and market reach through the addition of new branches, cementing our position as the financial institution with the largest branch network. A pivotal corporate event was the successful completion of the amalgamation of Multi Finance PLC in July 2024. Acquired under the guidance of the Central Bank of Sri Lanka (CBSL), this strategic integration resulted in the full absorption of Multi Finance's assets and liabilities, which are now fully reflected in our financial statements.

Moreover, we continued to invest in our strategic transformation, including the recruitment of a Chief Transformation Officer, tasked with leading enterprise-wide change and fostering a culture of innovation. While early AI-based lending initiatives are underway, the full impact of these innovations is anticipated to become more evident in the coming year.

GOVERNANCE, RISK MANAGEMENT, AND SUSTAINABLE VALUE CREATION

Robust governance is not merely a compliance exercise for LBF; it is the bedrock of our operations and fundamental to creating sustainable value for all stakeholders. Our commitment in this regard is comprehensive, spanning both traditional risk management and proactive integration of Environmental, Social, and Governance (ESG) principles.

This year, we significantly enhanced our governance and risk management framework. Key structural improvements included strengthening of Chief Information Security Officer (CISO) function to bolster our cyber risk oversight and a formal Operational Risk Management Committee (ORMC) to strengthen operational risk governance. We also introduced a Board-approved Model Risk Management Framework, ensuring robust oversight of our statistical and AI models, and appointed a dedicated employee to specifically oversee personal data governance and compliance.

Furthermore, our unwavering commitment to sustainability was significantly formalised and integrated into our risk approach. We undertook a comprehensive review and revitalisation of our ESG policy, including the development of a specific Climate Risk Policy, to ensure alignment with evolving expectations and sectoral risks. This proactive stance is further evidenced by the commencement of integrating SLFRS S1 and S2 sustainability and climate-related risk and opportunity management requirements into our overall risk framework and the initiation of clear, measurable sustainability-related Key Performance Indicators (KPIs). Our dedicated Board Sustainability Committee ensures sustainability is deeply woven into our corporate governance and strategic planning.

Across all material risk categories including Credit, Integrated, Operational, Information Security, Sustainability, and Model Risk we have implemented targeted enhancements, refined policies, updated risk appetites, and conducted rigorous stress testing and assessments. A notable achievement was the successful upgrade of our Information Security Management System (ISMS) to the ISO/IEC 27001:2022 standard, positioning LBF as the first NBFI in Sri Lanka to reach this benchmark, reinforcing our commitment to international best practices. We also initiated the implementation of a Security Operations Centre (SOC) to enhance real-time monitoring and response capabilities.

These comprehensive initiatives fortify our control environment, enhance our resilience against an evolving risk landscape, reinforce our adherence to national and international standards, and ultimately ensure we are well-equipped to support our future growth trajectory while upholding our culture of transparency and ethical leadership.

FUTURE OUTLOOK

As we transition from a year of exceptional performance, LBF is poised to build upon this strong momentum. Our strategic direction is unequivocally clear: to solidify our standing as a leading technology-driven financial service provider. We will strategically leverage Fintech and AI across every facet of our operations, not only to enhance efficiency but critically, to elevate customer experience. While credit income will remain a vital revenue driver, our operational framework will progressively become more tech-centric.

Central to this forward-looking strategy are several key expansionary initiatives. We will significantly grow our Microfinance and Small Business Loan portfolio, develop bespoke financial products for small business owners, and enhance our Alternate Finance Solutions offering. Focused regional expansion also remains a critical objective. Concurrently, we are committed to the pervasive integration of Sustainability and ESG principles across the organisation.

ACKNOWLEDGEMENTS

As I conclude this message, the exceptional performance achieved in FY 2024/25 is a clear validation of our disciplined strategic execution, coupled with our deepening commitment to robust governance and sustainable value creation. We are confident in our ability to build upon this momentum, navigating future challenges and opportunities with resilience and focus, to ensure enduring prosperity for all who place their trust in LBF.

To conclude, I wish to express my sincere appreciation to the LBF team. Your unwavering commitment, dedication, and steadfast loyalty to LBF's vision, particularly amidst challenging circumstances, have been truly commendable and were essential to our record achievements this year. I am deeply grateful for the continuous support, wise counsel, and encouragement I consistently receive from my esteemed fellow Board members. Finally, a special thank you is due to the Governor of the Central Bank of Sri Lanka and the dedicated officials at the Department of Supervision of Non-Bank Financial Institutions for their invaluable guidance and oversight throughout the year.

G A R D Prasanna
Chairman

30 May 2025

MANAGING DIRECTOR'S REVIEW

<IR 4G>

We believe that a thriving economy is built on equal access to financial opportunities. At LBF, we have taken significant steps to bridge financial gaps by providing crucial financial backing to rural communities, small businesses, and emerging entrepreneurs, facilitating their growth and success.

Sumith Adhihetty
Managing Director

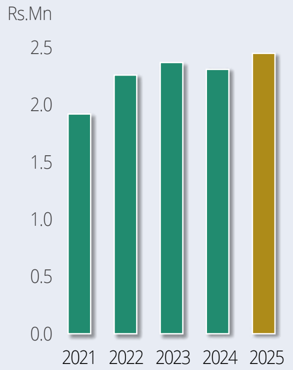
Financial Year 2024/25 was a period of landmark achievement for LB Finance PLC. Despite navigating a dynamic and intensely competitive landscape, marked by significant economic shifts and industry-wide pressures, we delivered outstanding results. Our strategic foresight, operational agility, and the exceptional resilience and unwavering commitment of our dedicated team were key drivers in successfully meeting our performance budget and achieving the highest profit in the Company's history. This record performance not only overcame significant headwinds but also solidifies a robust foundation for sustained future growth.

MANAGING DIRECTOR'S REVIEW - DIGITAL VERSIONS

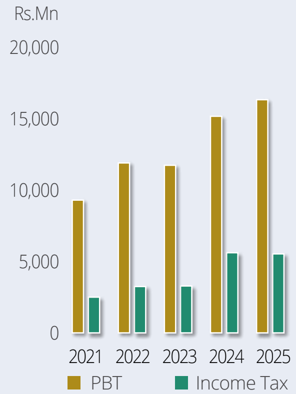
In English | In Sinhala | In Tamil

English AUDIO **09** | Sinhala AUDIO **10** | Tamil AUDIO **11**

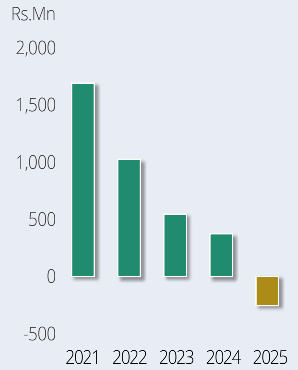
Profit per Employee



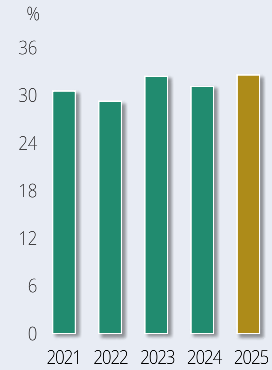
PBT and Income Tax



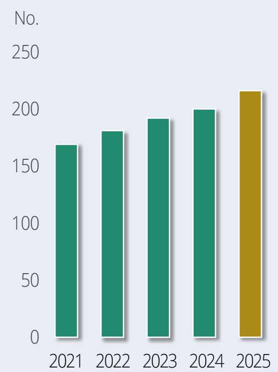
Impairment Charge/ (Reversals)



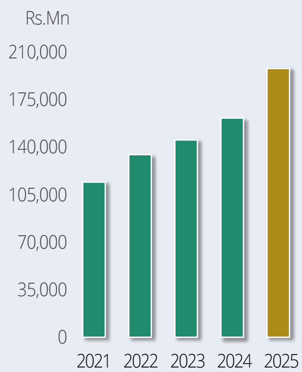
Cost to Income Ratio



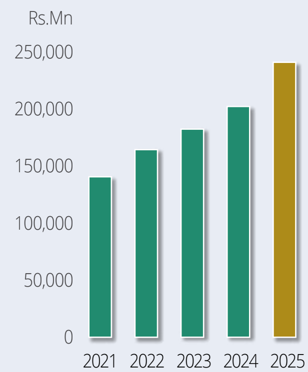
Total Branches



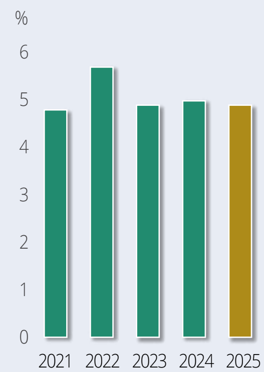
Loans and Receivables



Total Assets



Return on Assets (ROA)



EXCEPTIONAL FINANCIAL PERFORMANCE

Reflecting this outstanding performance and continued positive momentum, our Operating Profit Before Taxes for FY 2024/25 increased by 9.06% YoY, to Rs. 20.51 billion. This strong bottom-line performance was fundamentally driven by robust Pre-Tax Profit growth, resulting from: proactive management of our net interest margin through timely repricing of interest-sensitive assets and liabilities; disciplined control of operating expenses, maintained at optimal levels via effective cost optimisation programmes; and a significantly reduced credit loss provisioning impact, reflecting both stringent quality credit granting and robust recovery procedures.

Our Net Interest Income grew by 3.19% YoY to Rs. 25.12 billion in FY 2024/25. While Interest Income decreased by 8.56% to Rs. 41.81 billion, primarily driven by the market interest rate cycle leading to asset repricing and strategic portfolio adjustments. Our effective management of funding costs resulted in a substantial 21.95% reduction in Interest Expense, from Rs. 21.37 billion to Rs. 16.68 billion.

STRENGTHENED ASSET QUALITY AND BALANCE SHEET

A significant factor in our exceptional results was the substantial improvement in asset quality. We successfully transitioned from an impairment charge of Rs. 373.23 million in FY 2023/24 to a net impairment reversal of Rs. 256.23 million in FY 2024/25. This pivotal shift, representing an improvement of over 168%, is a direct consequence of our proactive strategy to enhance asset quality and our vigilant management of credit risk throughout the year. Furthermore, diligent credit monitoring, coupled with efficient recovery procedures, significantly lowered our level of non-performing advances (NPA). This focus is reflected in our NPL ratios: a low gross NPL ratio of 2.25% and, notably, a negative net NPL ratio of -1.22%.

Our balance sheet reflected this strong performance and strategic focus on growth. Total assets reached Rs. 240.89 billion as of 31 March 2025, compared to Rs. 202.17

billion as of 31 March 2024, representing a YoY increase of 19.15%. This expansion underscores the growth of our operations. Crucially, interest-earning assets constituted a substantial 93.35% of total assets (a slight increase from 92.25%), highlighting our strategic focus on deploying capital effectively into income-generating activities. Within this, Loans and Receivables recorded exceptional growth, increasing by 22.61% YoY, from Rs. 161.29 billion to Rs. 197.76 billion, driving asset expansion and future income potential.

STRATEGIC RESPONSE AND OPERATIONAL EXCELLENCE

Navigating the competitive and evolving landscape required a proactive and disciplined approach. We prioritised staff recruitment and training, dedicating the highest budget and focus to these areas, which helped us recover from earlier staffing challenges and significantly benefited us in the latter half of the year. We strategically leveraged our technology, extensive network, and human resources to maintain our competitive edge. Our resilience is reliant on a sound credit policy coupled with a sound pricing mechanism; these two factors are central to our entire business model, and healthy cash flows subsequently improve our funding mix. Having successfully navigated multiple crises since 2019, the foundation we have laid out is strong and proven.

We continued to invest heavily in IT development and digitalisation. Our IT department now comprises approximately 5% of our total staff, reflecting this significant investment. We are proud of the LB CIM app, recognised as the most popular payment app among banks and financial institutions, at the Technnovation awards 2024. We are well-set with our network, people, reach, and technology to seize future opportunities, including potential growth stemming from the relaxation of vehicle import restrictions, which could significantly grow our main business line. We continuously studied competitors and targeted segments strategically.

HUMAN CAPITAL DEVELOPMENT

Our people are our most valuable asset and the engine of our success. We are deeply committed to fostering a culture of non-discrimination across race, religion, and gender, ensuring performance is based solely on merit. Moreover, we promote and develop female staff, evidenced by female branch managers and a dedicated female credit team. We have intentionally created new opportunities for female staff, enabling them to earn more and engage directly with customers in the field. Furthermore, we maintain a robust internal career progression path, giving preference to internal staff for leadership roles and transfers, ensuring that talent can ascend the ladder based on merit. Good performance is rewarded quarterly, with a significant proportion of rewarded staff consistently being female, demonstrating their strong contribution. Currently, females constitute 47% of our total staff. We remain committed to upholding our culture and social values across the network.

COMMUNITY AND SOCIAL IMPACT

We believe that a thriving economy is built on equal access to financial opportunities. At LBF, we have taken significant steps to bridge financial gaps by providing crucial financial backing to rural communities, small businesses, and emerging entrepreneurs, facilitating their growth and success. Our commitment is to reach every Sri Lankan with essential financial services. In 2024/25, we demonstrated this commitment by launching 10 new branches, including 3 strategically placed in North and East areas, extending affordable and reliable access to those population. Recognising the vital link between community well-being and our long-term success, we focused on uplifting marginalised areas, with a specific emphasis on rural communities. Extending beyond financial inclusion, our community development efforts support initiatives in key areas including child health and well-being, education, and entrepreneurship empowerment. By championing youth and women empowerment, literacy, and skills development, we are paving the way for a more sustainable and inclusive future for all.

GOVERNANCE AND COMPLIANCE

We continue to uphold the highest standards of corporate governance and compliance, recognising them as fundamental to long-term sustainability and stakeholder trust. We continuously strengthen our corporate governance and risk management frameworks, upholding high standards of transparency and integrity. As the highest taxpayer in the NBFI sector, we are proud of our significant contribution to the national economy. Our tax liability reached a substantial Rs. 12.65 billion in 2024/25, demonstrating our commitment to fiscal responsibility. Our proactive adoption of industry best practices and voluntary compliance with standards beyond regulatory requirements underscore our dedication to ethical and responsible operations. Moreover, we nurture a resilient and reliable business partner network through rigorous supplier assessment, clear procurement guidelines, and continuous engagement, building transparent, long-term relationships aligned with our governance and sustainability standards. Ongoing monitoring and collaboration ensure early identification and prompt mitigation of emerging risks, safeguarding operational continuity and mutual trust.

ENVIRONMENTAL STEWARDSHIP AND SUSTAINABILITY

Sustainability is a dynamic, driving force an organisation-wide commitment that transcends mere compliance or reporting; it is intrinsically woven into how we operate, innovate, and grow. This year, we have intensified our focus on embedding sustainable outcomes throughout every level of the business from pioneering responsible financial solutions and driving digital innovation to fostering employee development and deepening community engagement. These achievements are a testament to robust collaboration across all departments and a shared conviction that sustainability is fundamental to our long-term success and resilience. To drive sustainability, we have established a specialised sustainability unit to strategically oversee our comprehensive agenda, formed a 'Green Team' to champion initiatives, and reinforced our commitment through dedicated Board and Management-level sustainability committees. Moreover, we have clearly defined sustainability metrics and measurable targets, including a net-zero emissions target for 2050, aligning with national climate goals, with an interim target of a 5% emissions reduction by 2030. We also conducted targeted training sessions for Board members on critical sustainability topics. We are proactively committed to providing transparent and decision-useful sustainability information to all our stakeholders, embracing, and adapting to the requirements of IFRS S1 and S2, strategically aligning with our broader ESG objectives. The relevant disclosures can be found in the dedicated section of this report.

RECOGNITIONS AND AWARDS

Our commitment to excellence, innovation, and transparency continues to be recognised both locally and internationally, affirming our role as a leader in Sri Lanka's financial services sector. In the past year, LB Finance was honoured with several prestigious accolades that underscore our dedication to digital transformation, corporate governance, and integrated reporting. We were proud recipients of three Merit Awards at the National ICT Awards (NBQSA 2024) for our in-house innovations: the Automated Gold Loan Higher Advance Granting system, the Eclipse RMV Solution, and the Eclipse Deposit Management Solution. Our resilience in technology was further acknowledged with a Merit Award at the Digital Trust Awards 2024 as the Technology Resilient Company of the Year in the Financial Sector.

In recognition of our transparency and reporting excellence, we secured the Joint Bronze Award at the SAFA Best Presented Annual Report Awards and were also celebrated at the CMA Excellence in Integrated Reporting Awards 2024, winning the Best Integrated Report in the Finance & Leasing Sector and being listed among the Five Excellent Integrated Reports. Furthermore, we clinched Gold at the TAGS Awards 2024 in NBFI sector, and at the LankaPay Technnovation Awards 2025, our digital initiatives were honoured with Gold for the Most Popular Digital Payment Product in our category. Reinforcing our reputation in the industry, LB Finance was named the Sector Winner – Finance & Leasing Category in the LMD Most Respected Entities in Sri Lanka 2024. These accolades reflect our unwavering pursuit of excellence and our ongoing efforts to lead through innovation and integrity.

FUTURE OUTLOOK

Looking ahead, we are poised to build upon the strong momentum of this year. Our strategic direction is clear: to solidify our position as a technology-driven financial service provider, leveraging Fintech and AI to enhance every facet of our operations and elevate customer experience. While interest income will remain a core revenue driver, our operational framework will become increasingly tech-centric. We are targeting significant growth in key areas, including expanding our Micro-finance/Small Business Loan portfolio and developing new verticals and products tailored for individual small business owners. We will also continue to develop Alternate Finance Solutions after restrengthening the relevant unit, targeting a significant growth. Regional expansion into untapped areas and products remains a key objective. Furthermore, we will continue integrating Sustainability/ESG initiatives deeper into our operations. We are ready to seize the opportunities presented by a recovering economy and evolving market needs, confident in our established network, skilled people, vast reach, and advanced technological capabilities.

APPRECIATION

This year's remarkable success is a collective achievement, made possible by the dedication of many. My sincere appreciation goes to the Chairman and the Board of Directors for their invaluable foresight and visionary leadership, especially throughout this challenging yet rewarding period. I extend my heartfelt gratitude to our senior management team and every single member of our dedicated staff for their tireless efforts, unwavering commitment, and loyalty. Their hard work on the ground, day in and day out, directly translated into these exceptional results. Finally, my deepest appreciation is extended to our valued customers, shareholders, and all stakeholders. Your continued trust, confidence, and partnership in LB Finance PLC are our greatest motivators and the fundamental force that drives us forward.

CONCLUSION

The past year has demonstrated our exceptional ability to perform strongly even in challenging conditions. We have delivered record profits, significantly improved asset quality, invested in technology and our people, and advanced our strategic goals, all while maintaining our core values and commitment to stakeholders and community. As we look to the future, we are energised by the opportunities ahead and confident in our strategy, our team, and our ability to continue creating value and contributing to Sri Lanka's economic progress. We are not just adapting to change; we are actively shaping it, building a stronger, more sustainable, and technologically advanced financial institution for years to come.

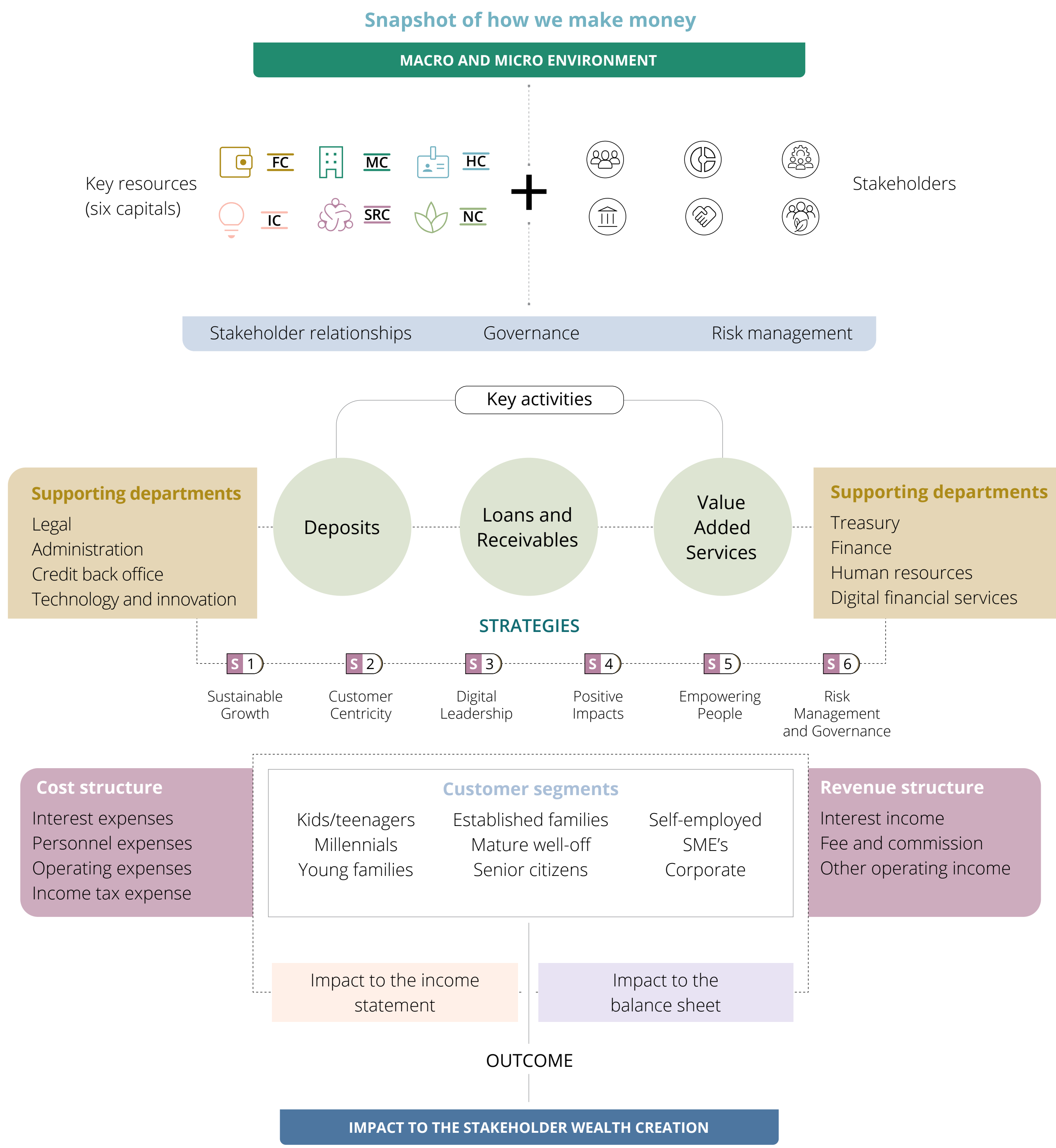
Sumith Adhihetty
Managing Director

30 May 2025

LBF BUSINESS MODEL

For long-term sustainability, LBF business model magnets from the six capitals and Scorecard delivers us with the framework against which we reflect how we transform, increase or decrease capitals in generating value creation outputs.

The diagram illustrates each of our core activities and how they translate into products and services to meet the needs of our stakeholders.



OUR VALUE CREATING - BUSINESS MODEL

<IR 2D, 4C>

Availability and Quality of Our Six Capital Inputs (2023/24)

FC Financial Capital

Our capital base, diversified sources of deposits, and funding from investors and customers are utilised to support our operations. This includes providing credit, facilitating payments and transactions, and rewarding shareholders for the capital invested through dividends.

- **Deposits:** Rs. 122.80 Bn
- **Shareholders' Equity:** Rs. 43.62 Bn
- **Return on Equity:** 23.40%

MC Manufactured Capital

Our business structure and operational processes, including our property and equipment, as well as our digital assets such as products, channels, and information technology (IT) systems, provide the framework and mechanics for how we conduct business and create value.

- **Modern IT Systems**
- **Technology Platform Investment:** Rs. 279 Mn
- **Physical Presence:** 200 branches and 24 CDMs
- **Branch Relocations:** 02

HC Human Capital

Our employees, culture, and collective knowledge, skills, and experience enable us to deliver innovative and competitive solutions for our customers, creating value for all stakeholders.

- 4,052 **Permanent Employees**
- **Salary and Benefits Paid:** Rs. 4.09 Bn
- **Training and Skills Development Spent:** Rs. 23.22 Mn
- **A Differentiated Culture:** customer- and people-centered, innovative, competitive, service-focused, and strong in compliance and governance

IC Intellectual Capital

Our intangible assets, including our brand, reputation, innovation capacity, knowledge and expertise, as well as strategic partnerships, play a key role in helping us grow our business.

- **Leading Digital Capabilities**
- **A Trusted Brand:** LB Finance ranked among the top 28 companies in Sri Lanka
- **Brand Value (Brand Finance):** Rs. 3,597 Mn
- **Market Leadership and Differentiation:** Strong position across various products and segments

SRC Social and Relationship Capital

Stakeholder relationships, including those with customers, business partners, and the communities we operate, are central to our business environment. We recognise the vital role we play in building a thriving society and a strong financial ecosystem.

- **Total Customers:** 800,000+
- **Purpose-led Sustainable Development initiatives:** Rs. 20.20 Mn aligned with UN SDGs
- **Responsible ESG Practices**
- **Business Partners:** 10,000+
- **Good Relationships with Stakeholders**

NC Natural Capital

The direct use and impact we have on natural resources through our operations, including energy, water, waste, emissions and climate, as well as our influence through our business activities

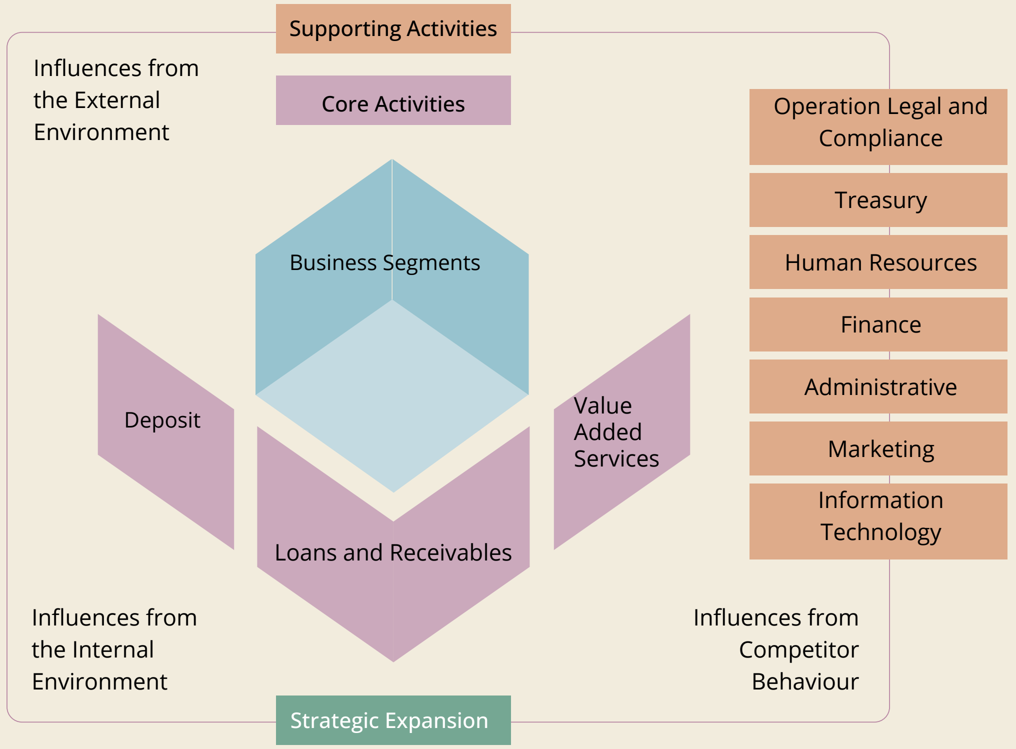
- **Market-leading ESG Policy**
- **A Maturing Environmental Management System:** Evaluating the impact of our lending to customers
- **Strong Track Record and Market-leading Capabilities:** In renewable energy financing, funding, and our operations
- **Carbon Footprint:** 3,982 tCO_2e

Enable us to deliver on our strategy

Risks Impacted, Material Themes and Strategies

Risks Impacted	Material Themes	Strategies
Market Risk Credit Risk Operational Risk Sustainability Risk	MT 1 Sustainable Business Growth	S 1 Sustainable Growth
Cybersecurity Risk IT Risk Operational risk	MT 2 Future Fit Organisation	S 2 Customer Centricity
Market Risk IT Risk Climate Risk	MT 3 Good Governance and Risk Optimisation	S 3 Digital Leadership
Operational Risk Sustainability Risk Reputation Risk Climate Risk		S 4 Positive Impacts
Operational Risk Reputation Risk Sustainability Risk	MT 4 Supporting Social Cohesion	S 5 Empowering People
Climate Risk Reputation Risk Sustainability Risk	MT 5 Serving and Meeting Customer Needs	S 6 Risk Management and Governance

Transformed into dynamic capabilities through strategic activities



Impact on SRROs

SR 01 SR 02 SR 03 SR 04

Impact on CRROs

CR 01 CR 02 CR 03 CR 04

Aligned with SDGs

SUSTAINABLE DEVELOPMENT GOALS

Competitive Advantage

- Strong brand reputation and customer trust
- Technology-driven risk management and analytics
- Strong governance and ethical practices
- Innovative financial products
- Long-term customer relationship
- Digital and physical touch points

Outcomes (2024/25)

Long-term value for our stakeholders

FC Financial Capital

- Revenue of Rs. 46.73 billion, an decrease of 5%
- Dividend per share up by 13%
- Return on Equity (ROE) decrease to 3%
- Net Asset Value per share (NAV) up by 18%
- Strong balance sheet with total assets increased by 19%
- Share price increased by 38% year-on-year

MC Manufactured Capital

- CIM app transactions: Increased by 33%
- 03 Branches were relocated for convenience service
- Investment in PPE increased by 8%
- 3 branches opened in Northern and Eastern Province
- Profit per branch Rs. 50 Mn

HC Human Capital

- 2,207 new recruitments
- Salaries and benefits increased by 19.7%
- Maintained and managed the retention rate
- Internal promotions: 1,145
- Investment in training decreased by 7%

IC Intellectual Capital

- Market-leading Digital and Ecosystem Solutions
- LB Finance's rank among companies in Sri Lanka improving to 20
- Developing In-house Systems and Programmes
- Retained scarce skills in areas such as data analytics, IT, risk management, and customised solutions

SRC Social and Relationship Capital

- Customers: Increased by 7% to 850,000+
- CSR Investment: Rs. 27.35 Mn
- Customer Queries: 598 queries, increased by 12% year-on-year
- Customers' NPS recorded at 51% for brand loyalty and 41% for service quality
- Direct and indirect tax contributions of Rs. 12.6 Bn
- 120 No. of Pre-schools developed

NC Natural Capital

- Green finance portfolio Rs. 7.35 Bn
- Number of Solar panel installation locations: 40
- 36,934 tCO_2e Greenhouse gas emitted to the atmosphere
- Paper recycled: 52,640 kg
- 375 sustainable trees planted
- Tree planting conducted for branch openings to offset the trees removed at the branch installation locations

FC	Value created	Value created	Value preserved	Value created	Value preserved	Value preserved
MC	Value created	Value created	Value preserved	Value created	Value preserved	Value preserved
HC	Value created	Value eroded	Value preserved	Value created	Value preserved	Value created
IC	Value created	Value preserved	Value created	Value created	Value preserved	Value preserved
SRC	Value created	Value preserved	Value created	Value created	Value preserved	Value created
NC	Value created	Value created	Value preserved	Value created	Value created	Value created

Value created Value preserved Value eroded

OUR OPERATING ENVIRONMENT

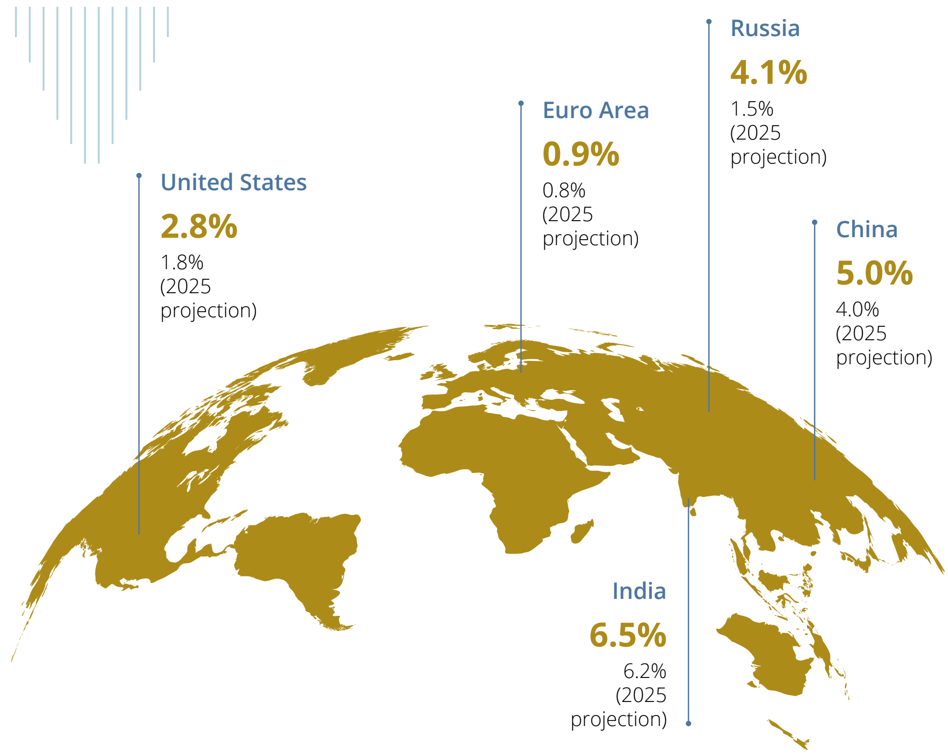
<IR 2A, 4A>

1. GLOBAL ECONOMY

The global economic landscape has been significantly altered following an underwhelming 2024. Rapidly escalating trade tensions, initiated by new US tariffs and subsequent countermeasures by trading partners, have led to near-universal tariffs, pushing effective rates to century-high levels and creating extremely high policy uncertainty. This is now projected to impact global activity significantly, slowing global growth from an estimated 3.3% in 2024 to 2.8% in 2025, before a modest recovery to 3.0% in 2026. The short-term growth impact varies across nations, influenced by factors like trade relationships and policy responses, with some (including China and the Euro Area) expecting fiscal support to offset negative effects partially.

Global headline inflation is forecast to decrease to 4.3% in 2025 and 3.6% in 2026, with advanced economies reaching the target sooner (2.2% by 2026) than emerging markets (4.6%). However, the outlook is subject to considerable uncertainty and has not fully reverted to pre-pandemic norms. A primary factor is the potential inflationary effect of recent tariffs, whose impact will vary by country based on perceived duration, business cost absorption, and invoicing currency.

Source: IMF World Economic Outlook April 2025



Emerging and Developing Asia
4.3%
3.7% (2025 projection)

Advanced Economies
1.8%
1.4% (2025 projection)

World Output
3.3%
2.8% (2025 projection)

2. MYANMAR ECONOMY

Myanmar's economic landscape continues to face significant challenges stemming from prolonged instability, high inflation, and trade disruptions, which heavily impact growth. Consequently, GDP growth is forecast to contract by 0.7% in fiscal year 2024 (FY2024, ending 31 March 2025), following a 0.8% contraction in FY2023.

Rising prices for food and fuel, decreased food production, exchange rate depreciation, and constraints in supply chain and logistics have led to double-digit inflation. In FY2024, average annual inflation increased to 27.8%, up from 27.5% in FY2023. Increased volatility across the country has disrupted food production and trade flows, heightening inflationary pressures, particularly in conflict-affected areas.

Outlook

The economic outlook for Myanmar remains weak due to the ongoing crisis, with GDP growth projected at a modest 1.1% in FY2025, improving slightly to 1.6% in FY2026. This limited recovery assumes some sectoral improvements and continued humanitarian support but is heavily constrained by conflict, macroeconomic instability, and worsening socio-economic conditions. These factors are expected to result in uneven sector performance, with industry forecast to grow by 1.5% and services by 1.2% in FY2025. Agriculture faces significant uncertainty due to reliance on weather, rural security, and trade recovery, with growth expected at only 0.2%.

Inflationary pressures remain high, fuelled by factors including rising input costs and supply chain disruptions. Severe floods in September 2024, for instance, significantly impacted agricultural output and rural productivity, contributing to persistent food inflation and keeping headline inflation in double digits. The depreciation of the kyat, averaging 35% year-on-year as of January 2025, further intensifies inflationary pressure by increasing imported input costs. Regarding external balances, the current account deficit is projected at 2.0% of GDP in FY2025, widening slightly thereafter in FY2026.

Source: Asian Development Outlook April 2025: Myanmar

3. SRI LANKAN ECONOMIC HIGHLIGHTS AND THEIR IMPACT

3.1 PESTEL Analysis

Political Related Material Theme MT 1 MT 3 Related Strategies S 1 S 6

Political stability, achieved after the 2024 elections, has significantly boosted investor confidence. This, in turn, has cultivated a more predictable and secure business environment, stimulating increased domestic and foreign investment. The resulting capital inflows have played a key role in improving market sentiment and enhancing economic growth prospects.

Moreover, the government has taken steps to gradually lift the ban on the import of vehicles. This will influence the exchange rate by weakening the local currency.

Outlook

- Sri Lanka is expected to maintain political stability over the medium term, following the turbulence of 2022.
- The government's commitment to reforms under the IMF programme including fiscal consolidation, anti-corruption legislation, and governance improvements will dominate the political agenda.

Risks Associated Market Risk | Liquidity Risk

Economic Related Material Theme MT 1 MT 3 MT 4 Related Strategies S 1 S 4 S 6

Sri Lanka's economy recorded a steady recovery in 2024, emerging from its deep downturn faster than many other debt-distressed nations. Post-crisis reforms are yielding positive outcomes including improved activity and purchasing power, while reduced uncertainty, eased election concerns, nearing debt restructuring completion, and exiting the restricted default rating have significantly boosted confidence. Growth was broadly supported by key sectors, including a revival in Industry (manufacturing, construction), sustained growth in Services (accommodation, transport), and a positive contribution from Agriculture.

Following an early-year surge, Sri Lanka experienced strong disinflation throughout 2024, resulting in deflation from September. Key drivers included electricity tariff cuts, a strengthening rupee, and moderating global prices, alleviating high living costs. By year-end, headline inflation (CCPI) was -1.7% (from 4.0% end-2023), with the annual average dropping to 1.2% (from 17.4% in 2023).

Continuing its accommodative stance from June 2023, monetary policy in 2024 further drove down market interest rates through policy rate cuts. Approximately 125 bps of these cuts occurred in 2024, part of a total ~775 bps reduction. A key structural change in late November was the move to a single Overnight Policy Rate (OPR), contributing ~50 bps to the reduction and ending the dual rate system.

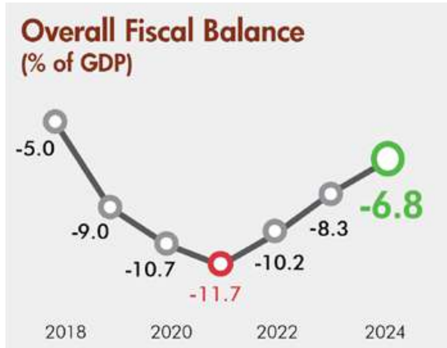
Outlook

The future outlook is subject to global economic headwinds, with potential US tariff policy changes posing a significant trade vulnerability, threatening both direct exports (especially to the US) and performance via other trading partners. On the inflation front, deflation is expected to persist into early 2025 before turning positive by mid-2025 and stabilising around the 5% medium-term target, anchored by policy. The Central Bank will remain vigilant, aware that global factors, including US policies, could influence domestic conditions and monetary policy decisions, while domestic interest rates are expected to remain low, with some scope for further cuts in certain lending products.

Risks Associated Market Risk | Liquidly Risk | Credit Risk

Sri Lankan Economy Highlights

Exchange Rate (Rs./USD)
365 Week 2, May 2022
293 end year

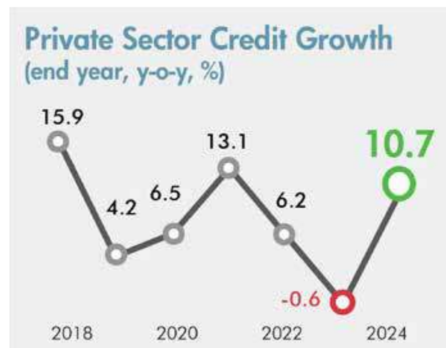


Overall Fiscal Balance (% of GDP)
-11.7 2021
-6.8

Inflation (CCPI, y-o-y, %)
69.8 Sep 2022
-1.7 end year

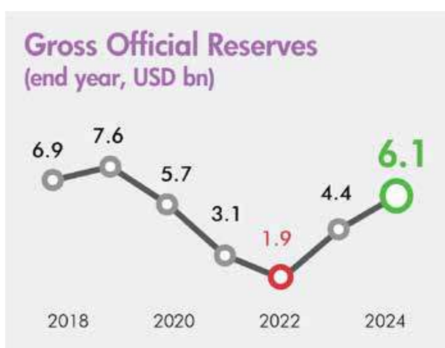
Interest Rate (AWPR, %)
29.7 Week 4, Nov 2022
8.9 end year

GDP Growth (y-o-y, %)
-7.3 2022
5.0



Private Sector Credit Growth (y-o-y, %)
-9.7 May 2023
10.7 end year

Per Capita GDP (USD)
3,464 2022
4,516



Gross Official Reserves (with PBOC swap, USD bn)
1.7 Aug 2022
6.1 end year

Government Revenue and Grants (% of GDP)
8.3 2021
13.7

Source: CBSL

Social

Related Material Theme MT 4 MT 5 Related Strategies S 2 S 4

According to the 2024 Census of Population and Housing, Sri Lanka's population is 21,763,170, an increase of 1,403,731 since 2012. While the average annual growth rate has slowed from 0.7% (2001-2012) to 0.5% (2012-2024), the population continues to grow. Provincially, the Western Province has the highest population (28.1%), and the Northern Province has the lowest (5.3%).

The labour force participation rate in 2024 was 47.4%, with an economically active population of approximately 8.3 million, 66.4% of whom were male. Data from this period indicated that female unemployment rates were consistently higher than male rates across all age groups. Youth aged 15-24 also experienced higher unemployment rates compared to older demographics for both sexes.

Stemming partly from limited economic opportunities exacerbated by the post-crisis public sector hiring freeze, emigration from Sri Lanka is increasing. Data from the Sri Lanka Bureau of Foreign Employment indicates a year-on-year rise in applications during the first nine months of 2024. This trend carries potential adverse implications for the quality of public service delivery.

The poverty rate was 24.5% (at US$3.65 per person per day, PPP) in 2024. Although poverty declined marginally during the year, it remains nearly double what it was in 2019 (11.3%).

Outlook

For 2025, Sri Lanka's total population is forecast at 23.23 million inhabitants, with the labour force projected at 8.78 million. This is expected to result in an unemployment rate of 5.24%, or approximately 459.73 thousand people. Labour productivity is forecasted at US$3.96.

Risks Associated Sustainability Risk | Operational Risk

Technological

Related Material Theme MT 2 MT 5 Related Strategies S 2 S 3 S 6

Technology is reshaping the financial services industry. AI applications are automating customer service via chatbots and advanced virtual assistants, providing personalised AI financial advice, and enhancing security through AI fraud detection, which is essential given the complexity of online transactions. The digital payment landscape is rapidly advancing with trends such as real-time and contactless payments improving speed and convenience. Mobile banking provides accessible transaction services beneficial for both users and institutions. Additionally, cryptocurrencies offer potential for decentralised transactions and greater financial inclusion.

Sri Lanka has strategically reframed its digital economy approach, viewing it as a national economic imperative for GDP growth, improved services, and enhanced competitiveness, rather than just a tech challenge. This shift led to a dedicated Digital Economy Ministry overseeing relevant institutions. Efforts include foundational projects including a blueprint, AI strategy, and digital identity, alongside immediate wins such as the GovPay platform. The country has set a bold target to grow its digital economy from the current USD 3-4 Billion to USD 15 Billion within five years.

Outlook

The global Digital Payments market is set for substantial growth, with total transactions projected to reach US$17.15 Billion by 2028 at a CAGR of 14.49%. Recognising this accelerating trend both globally and domestically, the Central Bank of Sri Lanka has launched a comprehensive three-year plan to enhance the stability and efficiency of the national payment system. This multi-pronged approach focuses on bolstering the legal framework (including revising the Payment and Settlement Systems Act and updating subsidiary rules including mobile app guidelines by 2025, while reviewing access/licensing regimes), upgrading infrastructure (such as the new ISO 20022 compliant RTGS system launched in 2024 with plans for cross-border extension, expanding CEFTS, and operationalising the GDPP in 2025), providing incentives (restoring the LANKAQR MDR to 1% from Jan 1, 2025), and strengthening public trust and security through fraud monitoring, guidance, new regulations, and nationwide awareness programmes.

Risks Associated Reputation Risk | Cyber Security Risk

OUR OPERATING ENVIRONMENT

Environmental

Related Material Theme MT 1 MT 4 Related Strategies S 1 S 4

Beyond direct and indirect economic impacts on sectors such as agriculture and energy, climate change poses a significant threat to financial stability. This link occurs primarily through two mechanisms. Physical risks materialise as increased frequency and severity of climate disasters, directly eroding asset and collateral values and impacting insurance sector liabilities. Simultaneously, transition risks emerge from the process of moving towards a low-carbon economy; the uncertainties around policy shifts and technological developments can disrupt markets and adversely affect the asset prices of carbon-intensive industries. Failing to undertake timely mitigation exacerbates the potential for sudden, economically disruptive adjustments, further increasing financial instability risks.

Sri Lanka is highly vulnerable to climate change impacts, including rising temperatures, altered rainfall patterns, sea level rise, and increased frequency of extreme weather events. These changes are already affecting various sectors, particularly agriculture, coastal areas, and human health.

Outlook

Despite contributing minimally to global emissions, Sri Lanka is severely impacted by climate change, facing threats to its economy and livelihoods from events including floods and droughts. While global developments such as the COP29 approval of standards for carbon markets can help foster funded emission reduction projects, the United Nations is supporting Sri Lanka's climate adaptation and mitigation efforts. This UN assistance includes initiatives in environmental management, climate-smart agriculture, e-mobility, renewable energy, and disaster preparedness/recovery, with plans to continue helping update national climate goals (NDCs) and mobilise partners.

Risks Associated Sustainability Risk | Operational Risk

Legal

Related Material Theme MT 3 MT 5 Related Strategies S 1 S 6

The Central Bank significantly strengthened the Licensed Banks sector and contributed to financial system stability through multiple initiatives. This included enhancing the legal and regulatory framework via the Banking (Amendment) Act and issuing comprehensive Directions to licensed banks, covering critical areas such as large exposure limits, corporate governance standards, liquidity requirements, related party transaction oversight, and rules for offshore banking business. Alongside regulatory updates, the Bank developed the Bank Recapitalisation Strategy as a roadmap for restructuring and recapitalising nine large domestic banks, specifically to ensure an adequately capitalised system. Furthermore, to enhance the efficiency and accuracy of the Sri Lanka Deposit Insurance Scheme (SLDIS) compensation mechanism and better manage depositor information, a Depositor-wise Data Collection System was initiated, covering all Licensed Banks and Licensed Finance Companies.

Outlook

The Central Bank remains dedicated to fortifying the non-bank financial institutions (NBFI) sector through its Masterplan for Consolidation and enhanced regulation. The Masterplan, initiated in 2020 to build a strong, stable sector, completed eight amalgamations in Phase I. A revised Phase II, announced in December 2024 and effective March 2025 to March 2028, will now focus on boosting the resilience of standalone finance companies, with their performance against benchmarks being monitored. To underpin this stability, regulatory oversight and risk management will be improved by amending the Finance Business Act and Finance Leasing Act, issuing new rules, leveraging automation for supervision, and enhancing public disclosures on finance company performance.

Risks Associated Reputation Risk | Operational Risk

4. LICENSED FINANCE COMPANIES SECTOR

The Licensed Finance Companies (LFC) sector recorded a significant expansion in 2024, whilst exhibiting resilience by maintaining capital and liquidity well above the regulatory minimum levels. The sector comprised 32 FCs accounting for 5.4% of the total financial sector assets at end 2024. The FCs sector grew in terms of loans and advances, deposits, and borrowings. Further, the asset quality of the sector improved as reflected by the reduction in NPL denoted by Stage 3 loans. The asset base of the sector increased by Rs. 235.2 Billion in 2024 and reached Rs. 1,930.7 Billion, reflecting a growth of 13.9% at end 2024, compared to a 5.7% growth at end 2023. The sector’s Profit After Tax (PAT) increased by 20.9% from Rs. 49.4 Billion in 2023 to Rs. 59.7 Billion in 2024, mainly driven by the increase in net interest income.

5. OUR COMPETITIVE LANDSCAPE (FIVE FORCES ANALYSIS)

Power of Customer

Impact **High**

While large-ticket loan / deposit customers have historically been highly price-sensitive and possessed greater bargaining power, MSMEs have generally been less rate-sensitive and held less leverage in negotiations. However, as Micro, Small and Medium Sized Enterprises (MSMEs) become more financially sophisticated, they are likely to become increasingly price-sensitive and demand more competitive terms.

Our Response

Focus on relationship building among existing customer base and channel resources towards finding new opportunities

Refer Social and Relationship Capital on page 184

Power of Business Partner

Impact **Low**

As a financial institution, our primary suppliers are providers of support services. Due to the nature of their services, which are essential but not core to our business, the bargaining power of these business partners is generally low.

Our Response

Focus on a diversified pool of support service providers to reduce risk of over-dependence on any specific group of service providers

Refer Social and Relationship Capital on page 184

Threat of New Entrants

Impact **Low**

Sri Lanka's financial sector is comprised of 30 banks and 34 non-bank financial institutions (NBFIs), creating a competitive landscape. The likelihood of new entrants is also based on the decision by authorities to grant new licenses.

Our Response

Build a strong and credible brand that stands out among peers

Refer MD's Review on page 50 and Business Review on page 222

Threat of Substitute Products

Impact **High**

While the threat of substitutes within the NBFI industry itself is low, competition from banks and other financial institutions offering similar loan and deposit products poses a significant challenge. In the medium to long term, the threat of substitutes is substantial, highlighting the need for NBFIs to innovate and create value-added solutions to meet the evolving lending needs of businesses and individuals.

Our Response

Stay updated with industry best practices and new opportunities offered through technology and incentives

Refer Social and Relationship Capital on page 184 and Business Review on page 222

Competitive Rivalry

Impact **High**

Traditionally, Sri Lankan customers have been reasonably loyal; however, competitive tactics among entities have greatly reduced loyalty levels, especially across high net-worth customer segments.

Our Response

Improve product mix, customer service and process efficiency to attract and retain customers. Explore new ways of delivering value and innovative means of utilising existing resources to extend our range of offerings.

Refer MD's Review on page 50 and Business Review on page 222

INTEGRATED STAKEHOLDER ENGAGEMENT

<IR 3C> | GRI: 2-23, 2-24, 2-29

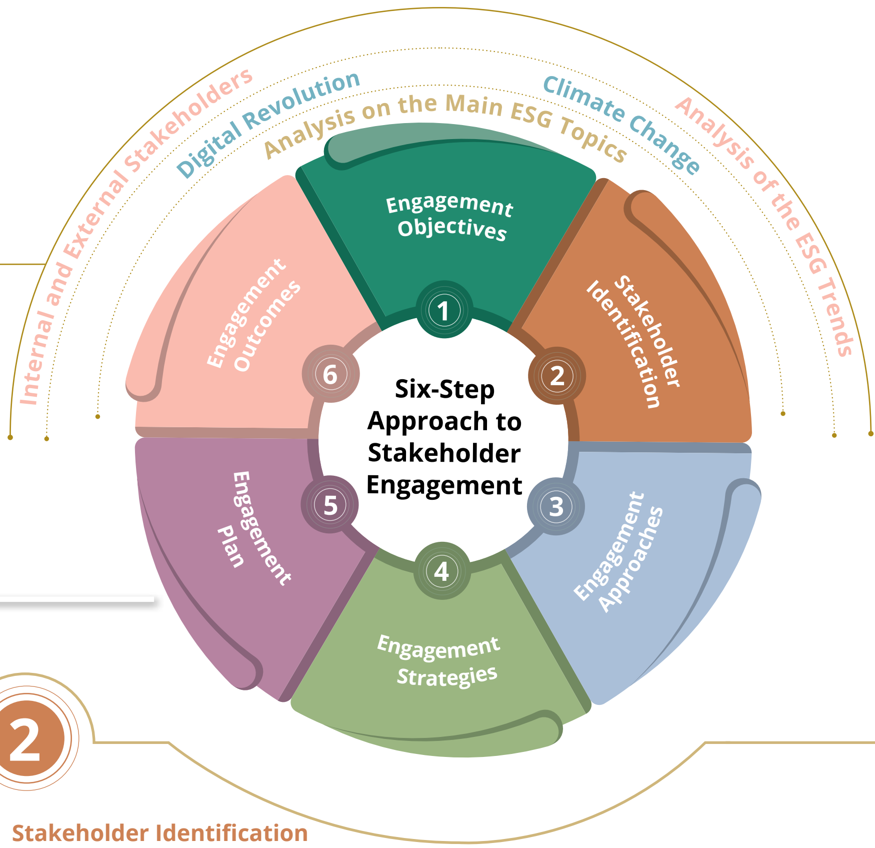
Our purpose centres on people, and we recognise that effective stakeholder engagement is fundamental to our success. Our stakeholder-centric approach creates value by understanding and responding to stakeholder needs, building long-term partnerships, measuring relationship effectiveness, and taking targeted action to drive positive, long-term sustainable impact.

1. GOVERNANCE AND MANAGEMENT OF STAKEHOLDER RELATIONSHIPS

The ultimate responsibility for our stakeholder engagement rests with the Board, guided by the Board Sustainability Committee (BSC) and the Sustainability Management Committee (SMC). While engagement activities are decentralised and conducted by our operational clusters and business areas, the Corporate Sustainability Department oversees day-to-day relationship management. Furthermore, the Stakeholder Forum ensures consistent application of our Stakeholder Engagement Policy across the entire Company.

Our Stakeholder Engagement Initiatives Seek to:

- Proactively unlock growth
- Respond to stakeholder issues
- Demonstrate good governance
- Display leadership and foresight as a good corporate citizen



1 Engagement Objectives

Our engagement objectives form the foundation for building meaningful relationships with stakeholders, fostering transparency, and driving mutual benefits.

- To enhance stakeholder trust through transparent communication
- To align stakeholder expectations with LBF's goals
- To ensure active participation in sustainability and business growth initiatives
- To address concerns and feedback proactively for continuous improvement
- To strengthen partnerships that contribute to long-term value creation

2 Stakeholder Identification

Identifying stakeholders ensure that all relevant groups are considered in decision-making and project execution processes.

Customers

End-users of our financial products and services

Shareholders

Our investors and equity partners seeking sustainable financial returns and long-term value creation, driven by our performance and governance

Employees

Our dedicated team whose expertise and commitment drive operational excellence and innovation

Regulators

Government and supervisory entities defining the framework within which we operate responsibly and ethically

Business Partners/Suppliers

Valued entities integral to our supply chain and ability to deliver exceptional products and services

Society/Communities

The local and broader societies where we operate, impacted by our social and environmental initiatives

3 Engagement Approaches

Our approaches outline the methodologies for effective communication and interaction with stakeholders.

Consultation

Conducting surveys and focus groups to gather stakeholder insights

Collaboration

Partnering with stakeholders in planning and implementation

Communication

Using digital platforms, newsletters, and our annual reports to disseminate information

Involvement

Inviting stakeholders to participate in decision-making and governance

Feedback Mechanisms

Establishing channels for receiving and addressing concerns

4 Engagement Strategies

For each selected engagement, our strategies provide a roadmap for achieving meaningful and impactful stakeholder engagement.

- Develop tailored engagement plans for each stakeholder group
- Leverage technology for efficient communication and data-driven decisions
- Foster inclusivity by prioritising marginalised and underrepresented groups
- Align engagement activities with our sustainability goals
- Monitor and evaluate engagement effectiveness to refine strategies

5 Engagement Plan

Our engagement plan outlines actionable steps and timelines to implement the strategies.

Timeline

Clear milestones for engagement activities

Activities

Scheduled meetings, events, and campaigns

Resources

Allocation of budgets, tools, and personnel

Monitoring

Periodic reviews and updates to the engagement plan

Reporting

Transparent documentation of progress and outcomes

6 Engagement Outcomes

Outcomes define the tangible and intangible benefits achieved through our engagement efforts.

- Strengthened stakeholder relationships and trust
- Improved alignment between organisational goals and stakeholder expectations
- Enhanced community goodwill through our CSR initiatives
- Increased employee satisfaction and retention.
- Positive contributions to sustainability and long-term value creation

For more information on

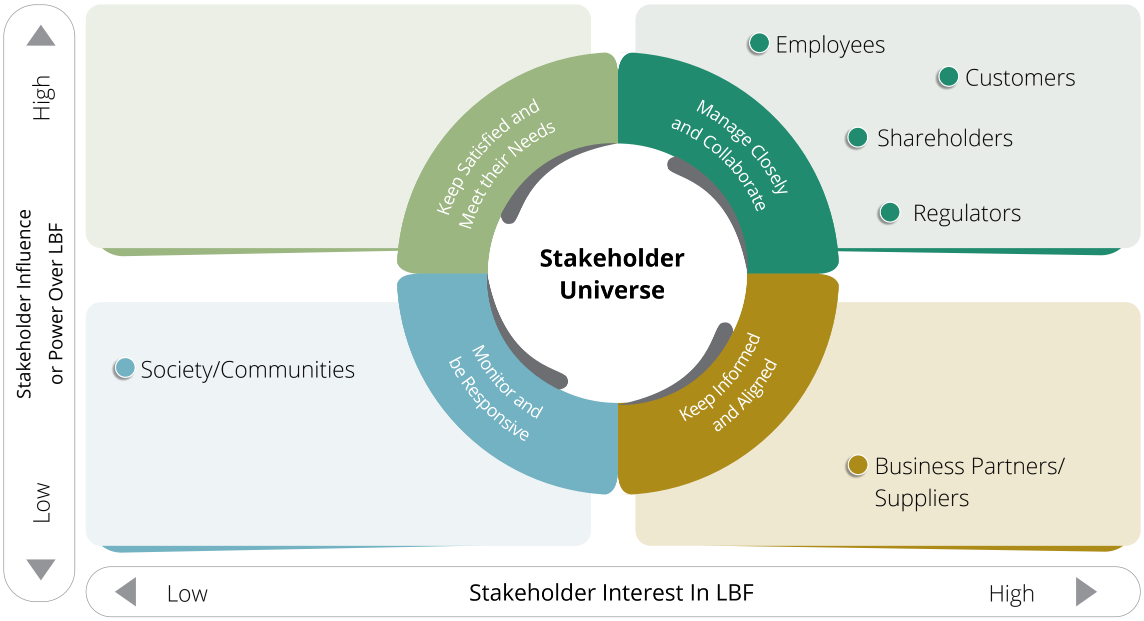
- Basic Characteristics for Stakeholder Engagement
- Checklist for Monitoring and Evaluation of Stakeholders
- Reporting Feedback to Stakeholders
- Critical Success Factors for Meaningful Stakeholder Engagement

Visit the Stakeholder Management Framework on the LBF sustainability site

INTEGRATED STAKEHOLDER ENGAGEMENT

GRI: 413-1

2. ANALYSIS OF OUR STAKEHOLDERS



Our stakeholder landscape evolves in line with our strategic direction. We group stakeholders by their influence on us and our impact on them. Crucially, we seek stakeholder input, integrating their concerns into our decision-making processes to drive value creation effectively within a rapidly changing operational context.

3. VALUE CREATION FOR STAKEHOLDERS

Stakeholder engagement is fundamental to our social and financial value creation, serving as a critical input to our strategy and a valuable outcome. Our value-added statement clearly illustrates how we generate and distribute financial value to our stakeholders through this approach.

Distributable Interest Income	+	Distributable Fee and Other Income	-	Distributable Operating Cost	=	Net Value Created
Rs. 41.81 Bn (2023/24: Rs. 45.72 Bn)		Rs. 4.91 Bn (2023/24: Rs. 3.50 Bn)		Rs. 4.27 Bn (2023/24: Rs. 4.57Bn)		Rs. 42.45 Bn (2023/24: Rs. 44.65 Bn)

Funders

We distributed 38.70% (2023/24: 47.35%) of the value created to depositors and lenders through the payment of interest on deposits and debt

Rs. 16.43 Bn

Employees

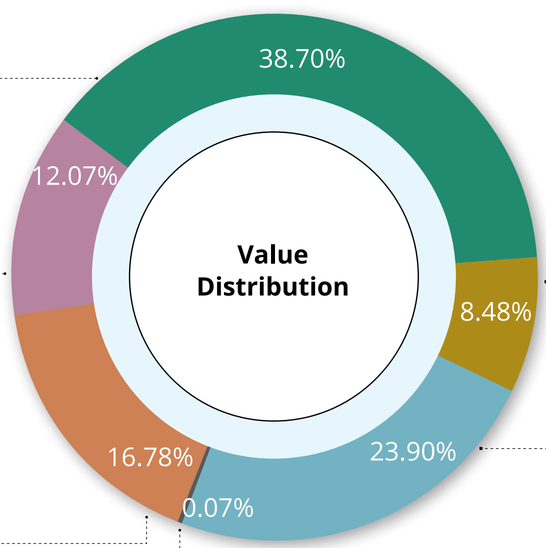
We distributed 12.07% (2023/24: 9.75%) of the value created to employees through remuneration and benefits

Rs. 5.12 Bn

Value Retained

We retained 16.78% (2023/24: 14.48%) of the value created to liquidity support and allocate capital expenditure

Rs. 7.12 Bn



Capital Providers

We distributed 8.48% (2023/24: 7.13%) of the value created to investors through the payment of dividends

Rs. 3.60 Bn

Government

We distributed 23.90% (2023/24: 21.24%) of the value created to government through the payment of taxes

Rs. 10.14 Bn

Community

We distributed 0.07% (2023/24: 0.05%) of the value created to community through CSR projects

Rs. 0.03 Bn

4. STAKEHOLDER ENGAGEMENT CANVASS

CUSTOMERS

GOAL: Customer at the Centre of the Business

887,333 Individual Customers

1,104 Corporate Customers

Quality of Relationship

Falling Short | Performing | Excelling

Level of Engagement: Involve

Related Capital	Related Material Themes	Related Strategy	Affected UN SDGs
MC SRC	MT 2 MT 5	S 2 S 3	8 9 11 17

Key Concerns

S1. Access to financial services

S2. Customer security and privacy

S3. Operationalising of guidelines and directives

S4. Financial support for revival of business

S5. Customer satisfaction and grievance handling

Our Response

- Expanding inclusive financial accessibility – Product portfolio (page 222)
- Strengthening data protection measures – Intellectual Capital (page 172)
- Implementing corporate governance practices (pages 246 to 281)
- Assisting businesses with sustainable plans – Business Review (pages 222 to 240)
- Social and Relationship Capital (Page 184)

Method of Engagement

- Emails AR
- Corporate website C
- Propaganda vehicle C
- Product and service brochures AR
- Product launches AR
- Market surveys A
- Call centre C
- Customer visits AR
- Social media platforms C

Contribution to Value Creation

LBF has diverse customers, including individuals, corporates and SME/MSME in Sri Lanka and Myanmar. Delivering an excellent customer value proposition to all these customers serves as the basis for the value generated by the Company and shared with other stakeholders

Risk Identification and Mitigation

- Competitive pressure among mainstream financial service providers
- Awareness of data security and privacy

Opportunities Identified

- Creating differentiation through multiple product propositions combined with an omnichannel environment
- Data-driven solutions to enhance the overall customer experience

Short-Term

Enhancing digital financial access via secure mobile banking solutions, underpinned by robust customer data protection and cyber security measures.

Medium-Term

Ensuring regulatory compliance by embedding new directives into digital operations, while simultaneously enhancing customer grievance handling and service response times.

Long-Term

Leveraging AI to develop innovative financial services that enhance accessibility while ensuring robust, long-term customer security.

AR As Required   C Continuous   A Annually   M Monthly   Q Quarterly

INTEGRATED STAKEHOLDER ENGAGEMENT

SHAREHOLDERS

GOAL: Sustained Growth and Wealth Maximisation

5,348 Total Shareholders

5,314 Local Shareholders

34 Foreign Shareholders

Quality of Relationship

Falling Short | Performing | Excelling

Level of Engagement: Consult

Related Capital	Related Material Themes	Related Strategy	Affected UN SDGs
FC, SRC	MT 1, MT 2	S 1, S 3, S 6	8, 9, 12

Key Concerns

- **S6.** Sustainable growth
- **S7.** Delivering sustainable returns
- **S8.** Business risk management
- **S9.** Transparency and accountability
- **S10.** Sustainability adaptation

Our Response

- Strengthening long-term business stability - Financial Capital (page 124)
- Offering incremental growth in shareholder returns - Financial Capital (page 124)
- Integrated Risk Management (pages 311 to 346)
- Implementing corporate governance practices (pages 246 to 281)
- Adopting sustainability guidelines/framework for business (page 98)

Method of Engagement

- Annual reports and AGMs/EGMs A AR
- Financial results A Q
- CSE announcements AR
- General correspondence AR
- Press releases AR
- Corporate website C
- Feedback surveys AR

Contribution to Value Creation

As the providers of capital, shareholder funds support, the day-to-day operations and fuel the Company's business plans

Risk Identification and Mitigation

- Lack of investor confidence due to market vulnerabilities in the NBFI sector
- Policies and demonstration of responsible business conduct

Opportunities Identification

Ability to leverage our financial strength to raise the necessary capital and funding at the best possible rates

Short-Term

Enhance digital financial services and improve customer experience through innovative platforms such as the LB CIM app, ensuring business stability and accessibility.

Medium-Term

Enhance operational efficiency and service delivery by integrating digital tools, simplifying processes, and expanding fintech collaborations.

Long-Term

Foster sustainable growth and innovation through customised hybrid financial models and strategic fintech partnerships, all underpinned by our commitment to responsible corporate citizenship.

AR As Required | C Continuous | A Annually | M Monthly | Q Quarterly

EMPLOYEES

GOAL: Career Progress and Best Place to Work

4,407 Total Employees	**2,317** Male	**2,090** Female	**40** Senior Management

Quality of Relationship

Falling Short | Performing | Excelling

Level of Engagement: Collaborate

Related Capital	Related Material Themes	Related Strategy	Affected UN SDGs
HC MC	MT 1 MT 2	S 1 S 5	5 10 16

Key Concerns

S11. Attractive benefit structure

S12. Training and skill, competency development

S13. Reward and recognition

S14. Diversity and equal opportunities

S15. Employee engagement

Our Response

- Providing financial and non-financial benefit plans (page 158)
- Nurturing customer-friendly and tech-savvy employees (page 162)
- Establishing the "Pinnacle Club" to recognise high performers (pages 158)
- Contributing to gender parity (page 159)
- Building an employee engagement culture (page 164)

Method of Engagement

- Staff meetings AR
- Performance appraisal A
- Social media platforms C
- E-publications M
- Notifications AR
- Emails AR
- Training programmes and workshops AR
- Post-training feedback AR
- One-on-one engagement C
- Focus group sessions AR

Contribution to Value Creation

Our employees provide the skills, experience, diversity, and productivity needed to operate our facilities efficiently and safely

Risk Identification and Mitigation

- Health and safety issues
- Employee engagement, health and wellness programmes

Opportunities Identification

- Digital-first organisation
- Modernised work systems

Short-Term

Building workforce capabilities for digital transformation through targeted, hands-on training in fintech, regulatory compliance, and cybersecurity, ensuring our team aligns with the evolving business model

Medium-Term

Building an agile and inclusive work culture through targeted employee wellness programmes, performance-based career progression, and leadership development to enhance adaptability to industry changes.

Long-Term

Developing a future-ready workforce by integrating AI-driven HR tools, creating/enhancing sustainability-focused roles, and aligning workforce strategies with global financial industry trends.

AR As Required C Continuous A Annually M Monthly Q Quarterly

INTEGRATED STAKEHOLDER ENGAGEMENT

REGULATORS

GOAL: Full Statutory Compliance

Central Bank of Sri Lanka

Securities and Exchange Commission

Department of Inland Revenue

Other Regulatory Bodies

Quality of Relationship

Falling Short | Performing | Excelling

Level of Engagement: **Involve**

Related Capital	Related Material Themes	Related Strategy	Affected UN SDGs
FC SRC	MT 1 MT 3	S 1 S 4 S 6	8 9 11 16

Key Concerns

S16. Stability of the financial system

S17. Compliance with applicable laws and regulations

S18. Migration to cashless payment platforms

Our Response

- Engaging in sustainable and ethical business practices – Financial Capital (page 124)
- Compliance with compulsory and voluntary guidelines, laws, and regulations – Corporate Governance (page 246)
- Increasing digital transactions through the LB CIM app – Intellectual Capital (page 172)

Method of Engagement

- Meetings AR
- Directives and circulars AR
- Telephone discussions AR
- On-site and off-site examinations AR
- Periodic or thematic assessments AR
- Participation in forums AR

Contribution to Value Creation

Government and regulators provide the regulatory and policy framework that is critical to value creation. Through legislation and policy, they inform us what we can do, how we can do it, and where we can operate

Risk Identification and Mitigation

- Increasingly strict rules and Regulations governing the NBFI sector
- Awareness generation on the mandates by the Government of Sri Lanka

Opportunities Identification

Active participation and contribution to industry and regulatory working groups

Short-Term

Enhance regulatory compliance through real-time reporting, transparent financial disclosures, and robust Anti-Money Laundering (AML) protocols, directly supporting national financial stability goals.

Medium-Term

Ensure ongoing alignment with evolving financial regulations by proactively adapting operations, integrating new directives, and improving data-driven regulatory reporting.

Long-Term

Foster a sustainable financial ecosystem by collaborating on green finance initiatives, championing/adopting ESG-aligned regulations, and contributing to policy reforms that enhance financial resilience.

AR As Required | C Continuous | A Annually | M Monthly | Q Quarterly

BUSINESS PARTNERS

GOAL: Foster Mutual Success and Long-term Collaboration

19,000+ Business Partners/ Suppliers

Quality of Relationship

Falling Short | Performing | Excelling

Level of Engagement: **Involve**

Related Capital	Related Material Themes	Related Strategy	Affected UN SDGs
SRC MC	MT 1 MT 2	S 1	9 17

Key Concerns

S19. Continued business opportunities

S20. Timely settlement

S21. Collaboration for new technological and digital advances in the financial sector

Our Response

- Making timely payments upon delivery
- Continuous engagement
- Clear communication of policies and procedures
- Business Partner Capital (Page 199)

Method of Engagement

Field visits AR

Service agreements AR

Supplier appraisal AR

Meetings AR

Contribution to Value Creation

Ensuring positive business partner relationships, based on mutual respect, enables us to deliver our customer value proposition efficiently and effectively

Risk Identification and Mitigation

- Lack of supplier diversity may lead to a breakdown in the supply chain
- Ensure timely payment for services

Opportunities Identification

Promote local suppliers

Short-Term

Enhancing ethical procurement standards by ensuring suppliers comply with regulatory guidelines, digital integration, and transparent sourcing practices to build responsible partnerships.

Medium-Term

Strengthening supplier collaboration through technology-driven partnerships, fostering supply chain resilience, and promoting ESG-aligned vendor selection to support sustainable business growth.

Long-Term

Building a future-proof, sustainable supply ecosystem by integrating green supply chain policies, digital financial solutions for vendors, and long-term strategic alliances that drive mutual success.

AR As Required · C Continuous · A Annually · M Monthly · Q Quarterly

SOCIETY AND ENVIRONMENT

GOAL: Empowering Community and Nurture the Nature

18 Community Based Projects

9 Environmental Initiatives

Quality of Relationship

Falling Short | Performing | Excelling

Level of Engagement: **Involve**

Related Capital	Related Material Themes	Related Strategy	Affected UN SDGs
SRC, NC	MT 1, MT 4	S 4	1, 2, 4, 6, 13, 15

Key Concerns

S22. Responsible financing

S23. Community engagements

S24. Environmental stewardship

Our Response

- Financial inclusion and empowering society and communities (page 33, 36)
- Launching CSR and sustainability projects with strategic partnerships (page 202)
- Reducing the adverse impact on the environment and introducing climate targets (page 221)

Method of Engagement

- Individual engagements AR
- Press publication AR
- Corporate website C
- Social media C
- Public events AR

Contribution to Value Creation

These stakeholders play a key role in holding us accountable to our commitment to positively impacting the environment and people's lives. Through these relationships, we can identify areas of need and focus our efforts on supporting the communities we work with

Risk Identification and Mitigation

- Climate change, health, and safety of communities
- Holistic rural development programmes and climate resilience actions

Opportunities Identification

- Job creation
- Local economic growth
- Reduction of emissions

Short-Term

Increasing community access to financial solutions and knowledge through expanded literacy and inclusion programmes, while demonstrating environmental responsibility by initiating carbon footprint reduction in our daily operations.

Medium-Term

Investing in green finance and community-driven initiatives, such as sustainable lending practices, renewable energy financing, and CSR projects that address social and environmental challenges.

Long-Term

Leading the sustainable finance transition by embedding ESG principles across all financial services, championing climate-conscious financing, and building long-term environmental resilience.

AR As Required | C Continuous | A Annually | M Monthly | Q Quarterly

5. VALUE CREATION STAKEHOLDER SCORECARD – SIX CAPITAL VIEW

Capitals	Stakeholders	Key Indicators of Capital Management	Unit	Outcome on the Capital 2024/25	2023/24
Financial Capital	Shareholders, Lenders, Employees	Income growth	%	-5	15
		Profit after tax growth	%	13	13
		Assets growth	%	19	11
		Market price per share*	Rs.	86.50	62.80
		Dividend yield	%	7.51	9.16
		Market capitalisation	Rs. Mn	47,926	34,795
		Dividend per share	Rs.	6.50	5.75
Manufactured Capital	Shareholders, Employees	Branches	Number	216	200
		Profit per outlet	Rs. Mn	50.02	47.81
		Income per outlet	Rs. Mn	216.34	246.15
		Freehold land and building addition	Rs. Mn	261.01	88.33
Human Capital	Employees	Investment in training and development	Rs. Mn	21.70	23.22
		No. of promotions		1,145	1,037
		Remuneration and benefits paid	Rs. Mn	4,902.96	4,095.93
Intellectual Capital	Customers	Investment in software development	Rs. Mn	58.87	6.48
		Re-certification of 27001:2022		Done	Done
		Investment in IT	Rs. Mn	273.44	279.25
Social and Relationship Capital	Employees, Regulators, Society/ Communities	Projects to uplift the communities well-being	Number	27	21
		Taxes paid to government	Rs. Bn	12.65	11.41
		Corporate social investment	Rs. Mn	27.35	20.00
		Economic value distributed	Rs. Mn	46,730	49,230
Natural Capital	Society/ Communities, Employees	No. of trees planted at present (50 to 50,000 tree planting programme)	Number	375	8,200
		Paper recycled	kg	52,604	20,109
		Energy consumption	GJ	55,714.08	16,852.95
		Carbon footprint	tCO_2e	36,934.07	3,982.90

*Price per share represents the share price after the share sub-division.

6. VALUE CREATION SCORECARD - STAKEHOLDER VIEW

The table below demonstrates how LBF's integrated strategy is generating positive outcomes for the Company through its holistic efforts to create stakeholder value.

	Value for the Stakeholder	Value for the Company	Indicator
CUSTOMERS	• Innovative, efficient, cost-effective financial solutions that meet customers' needs • Improved access to markets and financial services including access to information and advice • A safe and trustworthy financial services provider	• More satisfied customers • Enhances LBF's reputation as a trusted financial services institution • Increased customer loyalty • Higher revenue from existing and new customers	• Growth in customer base (%) • Complaints solved (%) • No. of financial solutions offered • LB CIM app downloads
EMPLOYEES	• A robust and challenging work environment where all employees can achieve their full potential • Culture that rewards for high performances • Self-led development and opportunities for career progression	• Highly motivated and engaged workforce as a key competitive advantage • A dynamic and experienced talent pool equipped to meet current and future needs of the Company	• Employee voluntarism (hours) • Total headcount broken down by: - Full time - Contract • Female • Male • Investment in training (Rs. Mn)
SOCIETY	• Support for economic growth • Increased access to, and funding for, education opportunities • Lower environmental footprint	• Access to new markets • Confirms LBF's status quo as a responsible corporate steward	• Total energy used (GJ) • Carbon emissions (tCO_2) • No. of CSR projects • Investment in CSR (Rs. Mn) • No. of trees planted at present (50 to 50,000 tree planting programme)
SHAREHOLDERS	• Sustainable return on investment through attractive dividends • Increased earning potential due to the upward movements in the share price	• Strong capital base to fuel growth • Public trust in the brand	• Return on equity (%) • Return on assets (%) • Debt to equity (Times) • Cost-to-income ratio (%)
REGULATORS AND BUSINESS PARTNERS	• Fair and ethical engagement when dealing with the Company • Contribution towards the overall stability of the country's financial system	• Sound corporate values, high ethical standards, market integrity and good conduct practices • Sustainable operations	• Employees completing no. of trainings on compliance • Fine or charge against non-compliance

Outcomes 2025/24	Outcomes 2024/23	Managing the Outcomes
6.8	6.4	• Ongoing work to stem customer losses; redefine the customer profile and gain trust and confidence • Driving innovation and articulation of a digital strategy to reshape the Company
89	95	
34	33	
200,000+	100,000+	
7,552	7,132	• Culture reset • Delivering a target culture and new corporate values • Implementation of multiple engagement forums • Focus on employee turnover
4,391	4,052	
16	80	
2090	1895	
2317	2237	
21.70	23.22	
55,714.08	16,852.95	• Ongoing stakeholder engagements informed by a revised Company policy and engagement framework • Continuous improvement of corporate governance, compliance and risk management practices • Establishment of a Company-wide sustainability programme
36,934.07	3,982.90	
27	21	
27.35	20.00	
375	8,200	
22.77	23.40	• New strategy and medium-term performance targets alongside a focused separation programme • Amended remuneration approach to address shareholder concerns
4.88	4.97	
3.53	3.44	
32.58	31.13	
5	5	• Continued engagement with regulators across Sri Lanka and Myanmar with a focus on the separation • Ongoing engagement/contribution to legislative developments
None	None	

MATERIALITY

<IR 3D, 4H> GRI: 3-1

1. INTEGRATED DYNAMIC AND DOUBLE MATERIALITY

Our process for determining Material Matters adheres to a double materiality approach, examining issues from an internal and external perspective. This means we consider the impact of a matter on both our ability to create value (inward focus) and its broader impact on the environment and society (outward focus). In conducting this assessment, we consider significant events from the past year and, importantly, the views of our stakeholders. Material Matters, as identified through this rigorous process and aligned with <IR>, GRI, and SLFRS requirements, have the potential to significantly influence the delivery of our business strategy and affect our ability to create and preserve value over time.

1.1 Materiality Determination Process

1 Understand the Organisation's Context

- Understand the operational environmental, organisational purpose, and expected strategic outcomes
- Engage stakeholders through in-person and virtual channels to understand their expectations
- Understand sustainability-related risks and opportunities (SRROs), and climate-related risks and opportunities (CRROs)

2 Identify Potential Impacts

- Identify the potential risks and opportunities and their impacts across various capitals
- Identify the impact of value creation and value depletion on our business model

3 Assess the Significance of Impacts

- Evaluate based on their strategic impact on organisational objectives and alignment with stakeholder priorities
- Determine which issues are material to the business and should be prioritised for reporting

4 Prioritise Impacts for Reporting

- Prioritise impacts that are critical to the Company's performance and aligned with stakeholder interests
- Establish performance targets and KPIs aligned with the strategies

5 Reporting

- Report material matters subject to annual evaluation

1.2 We Recognise a Matter as Double Material If :

Double Materiality

We assess double materiality through:

- Aspects material to investors or other financial capital providers (financial materiality)
- Matters affecting the environment, society, and the economy (impact materiality)

Process

We prioritise initiatives that enhance long-term shareholder value, carefully considering internal and external factors. Our decision-making process incorporates capital allocation trade-offs and is guided by the following principles:

- Analysing our business environment, operating context, resource dependencies, and stakeholder feedback to identify key influences
- Evaluating matters with business environment, operating context, resource dependencies, and stakeholder feedback to identify key influences
- Leveraging the insights gained from these analyses to prioritise material matters that drive sustained value creation for our shareholders
- Visualisation of SRROs and CRROs

Purpose

Our material matters:

- Serve as key drivers of value that shape our strategic decision-making
- Impact the evaluation of our capacity to generate enduring enterprise value by our financial capital providers
- Underline our commitment to generate sustained shared value for all stakeholders

GRI: 3-2

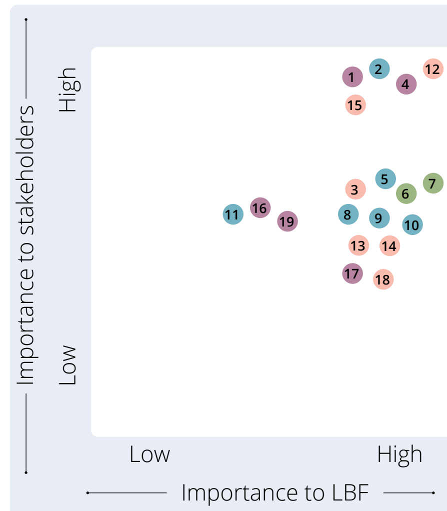
Changing Materiality

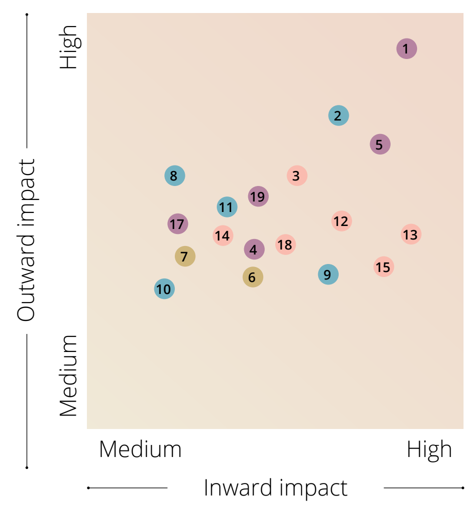
In 2024/25, macroeconomic and microeconomic shifts significantly influenced our materiality assessment. A more thorough double materiality assessment revealed interdependence between certain issues. Consequently, we combined related material matters based on their strategic importance, which resulted in a shift in materiality levels compared to 2023/24.

1.3 Materiality Drivers and Mapping

Rank	Material Matter	GRI Relevance	EESG
1	Sustainable revenue growth	201-1, 207	Economic
2	Risk and capital management	2-23, 201-2	Governance
3	Brand trust	2-24, 2-25, 2-26	Social
4	Operational resilience	2-12, 2-14, 2-22	Economic
5	Process excellence	2-23, 2-24, 2-26	Governance
6	Digital transformation	418-1	Environmental
7	Financed emissions reduction	305	Environmental
8	Internal control and risk management	2-12, 2-13, 2-14, 2-15, 2-16	Governance
9	Ethical and transparent practices	2-23, 2-24, 2-25, 2-26, 2-27, 205-2	Governance
10	Regulatory compliance	2-24	Governance
11	Information security and data privacy	418-1	Governance
12	Corporate citizenship and social license to operate	413-1	Social
13	Employee engagement	2-23, 401-2	Social
14	Training and development	404	Social
15	Health and safety	403-1	Social
16	Selling practices	NA*	Economic
17	Lending practices	NA*	Economic
18	Customer experience	418-1	Social
19	Financial inclusion	203-2	Economic

Economic Environmental Social Governance





*SASB Consumer Finance Standard applicable

2. MATERIAL THEMES

We identify material themes as essential factors for achieving shared value outcomes. The following themes have been identified for the financial year 2024/25 as material themes.

- **MT 1** Sustainable and Climate Inclusive Business Growth
- **MT 2** Future-fit Organisation
- **MT 3** Good Governance and Risk Optimisation
- **MT 4** Supporting Social Cohesion
- **MT 5** Serving and Meeting Customer Needs

2.1 Behaviour of Material Themes

MT 1 Sustainable and Climate Inclusive Business Growth

Sustainable and Climate Inclusive Business Growth delivers consistent financial performance while creating long-term value for stakeholders and society. For LBF, this means striking the right balance between profitability and purpose by embedding sustainability into our growth strategy. We focus on generating appropriate business outcomes that not only drive shareholder value, but also strengthen stakeholder trust, enhance the stability of the financial system, and build resilience against future shocks.

Material Matters

- [01] Sustainable Revenue Growth
- [02] Risk and Capital Management
- [03] Brand Trust
- [04] Operational Resilience

Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help	Hinder
• Strong brand reputation • Diversified portfolio • Experienced leadership and management • Liquidity and capital reserves • Technology and digital transformation	• Market saturation in urban areas • Talent retention challenges • Evolving digital risks • Market volatility

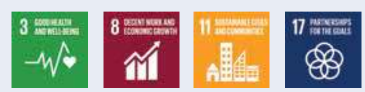
Why is this a Material Theme?

Sustainable and Climate Inclusive Business Growth is a material theme for LBF because it allows the Company to balance financial performance with long-term value creation for both stakeholders and society. This approach is key to align profitability with purpose, ensuring that growth strategies contribute to shareholder value while also fostering stakeholder trust. By embedding sustainability into its business model, LBF strengthens the resilience of the financial system, enhances its ability to withstand future shocks, and builds a solid foundation for long-term success. Recognising this theme ensures the Company can meet the evolving needs of its stakeholders and position itself as a responsible leader in the industry.

Strategic Alignment

- S1 Sustainable Growth
- S4 Positive Impacts
- S6 Risk and Governance

SDG



Capitals Impacted

FC MC IC

GRI

GRI: 3-1, 3-2

Associated Risks

- Market risk
- Operational risk
- Credit risk

Associated Opportunities

- Customer-centric innovations
- Cost optimisation through technology
- Stronger customer loyalty
- Diversification of revenue streams
- Building partnerships and strategic alliances

Actions

We mitigate risk during economic downturns through a combination of strategies: offering diverse financial products, conducting rigorous credit assessments, focusing lending on creditworthy customers and low-risk sectors, and proactively engaging with regulators to ensure compliance and adapt to policy changes.

Materiality Themes

For more information on

- Interrelationship Between Material Issues

Visit the Material matters on the LBF sustainability site

MT 2 Future-fit Organisation

Future-fit Organisation proactively adapts to evolving market conditions, embraces technological advancements, and responds to societal shifts to ensure long-term sustainability. For LBF, this means embedding sustainable practices across all operations, strategically leveraging digital technologies such as digital financing and AI, enhancing organisational agility, strengthening risk management frameworks, and prioritising customer-centric financial solutions that meet their evolving needs.

Material Matters

[05] Process Excellence

[06] Digital Transformation

[07] Financed Emissions Reduction

Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help	Hinder
• Sustainable financial model • Technology adoption • Customer-centric approach • Sustainability initiatives	• High initial costs • Skill gaps • Resistance to change • Cybersecurity and data privacy concerns

Why is this a Material Theme?

Future-fit Organisation is a material theme for LBF because it ensures long-term sustainability, competitiveness, and adaptability in a changing market. By focusing on digital transformation, process improvement, and customer experience, LBF remains responsive to market dynamics and technological advancements. Additionally, managing financed emissions highlights the Company's commitment to environmental stewardship. This approach positions LBF to maintain resilience, drive future growth, and strengthen its strategic advantage.

Strategic Alignment

- S1 Sustainable Growth
- S2 Customer Centricity
- S3 Digital Leadership

SDG

Capitals Impacted

SRC IC HC

GRI

GRI: 3-1, 3-2

Associated Risks

- Cybersecurity Risk
- Operational Risk
- IT Risk

Associated Opportunities

- Enhance customer experience and operations with advanced technologies
- Position LBF as a leader in digital financial services and sustainable finance
- Offer innovative digital solutions and personalised services
- Leverage growing demand for sustainable financial products to boost brand and market share

Actions

To build long-term resilience and security, we invested in robust cybersecurity infrastructure, prioritise phased technology implementation, and diversify our investments. Moreover, recognising the critical role of human capital, we focus on enhancing employee skills through comprehensive training programmes, strategic partnerships with educational institutions, and the recruitment of specialised talent.

MT 3 Good Governance and Risk Optimisation

Good Governance and Risk Optimisation at LBF is the foundation for creating long-term value for our stakeholders. It encompasses ethical leadership, unwavering regulatory compliance, and the cultivation of stakeholder confidence. Complementing this, our approach to risk optimisation involves proactively identifying, thoroughly assessing, and strategically mitigating financial and operational risks to strengthen our resilience and enable sustainable growth.

Material Matters

- [08] Internal Control and Risk Management
- [09] Ethical and Transparent Practices
- [10] Regulatory Compliance
- [11] Information Security and Data Privacy

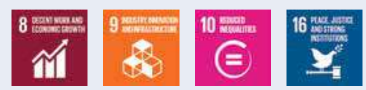
Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help	Hinder
• Strong reputation	• Complexity of risk factors
• Experienced management	• Regulatory uncertainty
• Sound risk management framework	• Cybersecurity threats
• Integrated compliance monitoring	

Strategic Alignment

- S1 Sustainable Growth
- S6 Risk and Governance

SDG



Capitals Impacted

FC SRC

GRI

GRI: 3-1, 3-2

Why is this a Material Theme?

Good Governance and Risk Optimisation is a material theme for LBF because it directly impacts the Company's operational integrity, financial resilience, and long-term sustainability. By focusing on effective corporate governance and proactive risk management, LBF ensures regulatory compliance, minimises potential financial and operational risks, and fosters stakeholder confidence. This approach helps the Company to mitigate market fluctuations, economic downturns, and other uncertainties, safeguarding its long-term value and ensuring business continuity. Prioritising risk and capital management enhances LBF's ability to adapt to challenges, maintain stability, and protect stakeholder interests, making it a critical theme for sustaining growth and achieving strategic objectives.

Associated Risks

- Market Risk
- Operational Risk
- IT Risk
- Reputational Risk

Associated Opportunities

- Clearer communication and transparency with stakeholders
- Clearer compliance with international regulatory standards
- Leveraged AI and data analytics for proactive risk mitigation
- Increased operational efficiency through automation
- Improved cybersecurity measures to protect customer data

Actions

Agility in our business is achieved through regular practices. This requires a process of regular auditing and structured training for our staff to ensure we act in accordance with regulatory practice and are fully compliant. Maintaining transparency in financial reporting and an agile approach to our risk management framework ensures any market conditions are responded to in an appropriate way with mitigation activity actioned quickly.

MT 4 Supporting Social Cohesion

Supporting Social Cohesion involves building a sense of belonging, unity, and mutual support within our organisation and the wider society. This requires ensuring equal opportunities for all individuals and groups, while also encouraging their active participation in contributing to the collective well-being and prosperity.

Material Matters

[12] Corporate Citizenship and Social License to Operate

[13] Employee Engagement

[14] Training and Development

[15] Health and Safety

Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help
- Inclusive financial products
- Diversity and inclusive initiatives
- Ongoing learning opportunities
- Workplace stress and mental health management
- Community partnerships

Hinder
- Public mistrust in non-banking financial institutions
- One-size fits all engagement strategies
- Limited stakeholder dialogue

Strategic Alignment
S 4 Positive Impacts

S 5 Empowering People

SDG
1 No Poverty, 2 Zero Hunger, 3 Good Health and Well-Being, 4 Quality Education, 13 Climate Action

Capitals Impacted
FC SRC NC

GRI
GRI: 3-1, 3-2

Why is this a Material Theme?
Supporting Social Cohesion is a material theme for LBF because it underscores the importance of fostering strong relationships both within the Company and with external stakeholders. By focusing on employee engagement, health and safety, and training and development, LBF not only creates a positive and productive work environment, but also strengthens its relationship with the broader community and customers. This commitment to social cohesion builds trust, enhances corporate citizenship, and ensures long-term success by retaining top talent, reducing turnover costs, and promoting a stable, motivated workforce. Ultimately, it contributes to a sustainable business model that benefits both employees and the communities in which LBF operates.

Associated Risks
- Operational risk
- Reputation Risk
- Sustainability Risk

Associated Opportunities
- Introducing innovative community outreach programmes
- Partnerships with public organisations
- Employee volunteering opportunities
- Introducing cross departmental training programmes

Actions
To ensure impactful and sustainable community engagement and effective employee development, LBF adopts a strategic and balanced approach. This includes carefully selecting community projects that align with our mission and values to maintain consistency and integrity, prioritising projects that offer both social and business benefits to maximise return on investment and balancing the frequency and type of training provided to employees to avoid overwhelming them while focusing on practical, hands-on development that enhances their skills and contributes to organisational success.

GRI: 2-16

MT 5 Serving and Meeting Customer Needs

Serving and Meeting Customer Needs requires a deep understanding of their individual expectations and the delivery of tailored financial solutions that offer tangible value, ease of accessibility, and unparalleled convenience. For LBF, this commitment translates into fostering long-term relationships built on personalised support, exceptional service, and proactive engagement to anticipate and fulfil their evolving financial requirements.

Material Matters

- [16] Selling Practices
- [17] Lending Practices
- [18] Customer Experience
- [19] Financial Inclusion

Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help

- Personalised financial solutions
- Technological advancements
- Strong customer support
- Customer feedback channels

Hinder

- Limited initiatives on market research
- Inadequate product knowledge
- Accessibility barriers

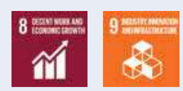
Why is this a Material Theme?

Serving and Meeting Customer Needs is a material theme for LBF because it is crucial to the Company's long-term success and competitiveness. By focusing on ethical selling, responsible lending practices, and prioritising customer experience, LBF fosters trust and strengthens customer loyalty, which are key drivers of sustainable revenue growth. Ensuring financial inclusion and meeting the diverse needs of customers, especially underserved populations, expands the Company's market reach and creates significant value for both customers and the organisation. This approach not only enhances customer satisfaction, but also ensures long-term financial stability, positioning LBF as a trusted and responsible player in the market.

Strategic Alignment

- S1 Sustainable Growth
- S2 Customer Centricity
- S3 Digital Leadership
- S5 Empowering People
- S6 Risk Management and Governance

SDG



Capitals Impacted

SRC MC HC

GRI

GRI: 3-1, 3-2

Associated Risks

- Operational risk
- Reputation Risk
- Sustainability Risk

Associated Opportunities

- Use customer insights to offer targeted financial advice and solutions, enhancing relevance and value
- Implement AI-driven solutions to streamline processes like loan approval, providing faster and more efficient services
- Anticipate customer needs and provide proactive solutions, preventing issues before they arise

Actions

To uphold our commitment to responsible and ethical business practices, we implement a multi-faceted approach focused on training our sales teams to use ethical, customer-first selling techniques and ensuring strict compliance with all relevant regulations. Additionally, we ensure that our lending policies are consistently non-discriminatory, transparent, and fully compliant with all regulatory standards. To continuously improve the overall customer journey and address any concerns promptly and effectively, we have implemented robust feedback systems that allow us to listen to and respond to customer needs in a timely manner.

Communication of Critical Concerns

If there is/are critical concern/s, management will communicate the same to the Board of Directors for their discussion and Board will provide narrations and direction to solve or mitigate the concern/s.

DESIGNING STRATEGIES FOR LONG-TERM SUSTAINABILITY

<IR 3A, 3E, 4E> GRI: 2-23, 2-24

1. 'ELEVATE 2030' PATH TO PEAK PERFORMANCE

"Path to Peak Performance" is more than a strategy. We pledge to lead with integrity, innovate passionately, and grow purposefully, setting new standards for industry excellence.

To navigate this path and build a future-ready organisation, we are guided by six strategic priorities for the short to medium-term and four strategic value drivers defining our long-term aspirations. Recognising the lasting ecosystem impact of our long-term financial framework, integrating Economic, Environmental, Social, and Governance (EESG) principles into all operations and collaborations is fundamental to this journey, ensuring sustainable growth and operational resilience are embedded in our pursuit of peak performance.

Approach to Strategy

Background Analysis	Navigating Tech Disruption	Stakeholder Centric Approach	Expansion	Sustainability and Social Response	Managing Regulatory Changes
• Vision/mission • Situation anlaysis • Setting objectives • Formulate strategy	• Embrace fintech • Digital platforms • Cyber security	• Personalisation • Feedback mechanism • Diverse offerings	• Local and regional markets • Partnership and merges • Regulatory compliance	• Green business • Community development • Ethical operation	• Rules and regulations • Risk management • Corporate governance

DELIVERING OUR STRATEGY

Strategic Value Drivers

Growth | Stability | Digitalisation | Shaping the Future of Risk and Governance

Strategic Value Unlocks

- S1 Sustainable Growth
- S2 Customer Centricity
- S3 Digital Leadership
- S4 Positive Impacts
- S5 Empowering People
- S6 Risk and Governance

2. STRATEGIC FOCUS AND RESOURCE ALLOCATION OF LBF

This section provides a detailed analysis of our resource allocation strategies and their impact on capital and our business model. Management Discussion and Analysis (MD&A) on pages 46 to 244 for specific financial performance metrics. Contextual analysis, including the operating environment and our strategic responses, is summarised in the Managing Director's Remarks (page 50), while the Chairman's Remarks (page 46) offers a broader perspective.

At LBF, the Board of Directors has traditionally provided strategic direction and served as the guardian of corporate governance. They act as enablers, empowering the Management team to drive the Company's vision forward. LBF's progress is outlined through a series of three-year strategies, highlighting how the management has taken timely initiatives to foster sustainable growth, and continues to do so to maintain this growth trajectory.

Shifting Our Business Model

Following our overview of the operating environment (page 56), this section focuses on how specific challenges influence our business model and necessitate adaptation. For our stakeholders, we will clarify the required changes to our business model needed to navigate these fundamental forces, mitigate key risks (page 311), and strategically pursue opportunities arising from market shifts.

Resource Allocation Process

Strategy (Our Purpose)

We focus on creating long-term value for stakeholders while ensuring sustainable growth and profitability.

FILTERS

- Does the opportunity add value to our stakeholders, evidenced by measurable value and growth metrics?
- Is the opportunity aligned with LBF's purpose and long-term goals?
- Can we scale this opportunity across the financial market efficiently?

If yes

Capability (Our Risk Appetite and Capacity)

Tested against LBF's risk appetite and capacity. It is essential to ensure we have the resources and capability to realise the identified opportunities.

FILTERS

- Is the opportunity within risk appetite?
- Do we have the required resources, both financial and human capital, to execute the opportunity effectively?

If yes

Allocation Testing

LBF regularly reviews and adjusts its risk appetite across various segments and markets to ensure that capital is allocated to areas with the highest return potential while mitigating associated risks.

Scenario Thinking and Planning

LBF adopts a robust scenario planning approach to challenge current assumptions and test how proposed initiatives will perform under various market conditions. This enables the Company to make informed decisions that balance long-term sustainability

2.1 Resource Allocation Principles

1 Alignment with Strategic Objectives

Allocate resources towards initiatives that directly support the organisation's strategic objectives and long-term vision, ensuring efficient use of resources to achieve core goals.

2 Risk-return Optimisation

Allocate resources to maximise risk-adjusted returns. This requires carefully assessing risks to ensure they align with the organisation's overall risk appetite.

3 Capital Efficiency

Maximise the productivity of deployed capital (financial and human), optimising utilisation to achieve the highest possible return on investment while minimising waste and inefficiency.

4 Regulatory Compliance

Ensure all resource allocation strictly adheres to legal and regulatory mandates by embedding compliance requirements into investment decisions and funding necessary systems and processes to mitigate risk.

5 Sustainable Growth and Innovation

Allocate resources to foster sustainable long-term growth and drive innovation, building an adaptable business model that creates enduring value while integrating EESG considerations.

3. ADDRESS SUSTAINABILITY-RELATED AND CLIMATE-RELATED RISKS AND OPPORTUNITIES (SRROs AND CRROs)

Strategy

This section outlines LBF's strategy formulation and execution framework, with a specific focus on how we address SRROs and CRROs. Our strategic approach begins with the identification, assessment, and management of these emerging factors, which are then integrated into our corporate planning and decision-making processes across short, medium, and long-term horizons.

We adopt a materiality-driven lens to ensure critical Environmental, Social, and Governance (ESG) concerns are embedded in our strategic priorities, resource allocation, and business model evolution. This section explains how we incorporate sustainability and climate considerations into our enterprise strategy and the initiatives we have implemented to drive sustainable growth, operational resilience, and long-term stakeholder value.

3.1 Impact on Business Model

Ongoing changes in SRROs and CRROs are expected to significantly influence LBF's business model in the medium to long-term. In response, we recognise the need to further diversify our product portfolio (page 222) to better address emerging environmental and social dynamics, such as climate-induced financial vulnerability and evolving consumer expectations.

As part of our forward-looking strategy, we plan to strategically realign our investment portfolio, integrating ESG and climate risk considerations into resource allocation decisions. This approach ensures that our financial resources are directed towards sectors and instruments that align with long-term sustainability.

These transformations reflect our commitment to building a resilient, future-ready business model that adapts to both market opportunities and systemic climate threats. The anticipated impacts on our business model and broader value chain under various climate scenarios.

3.2 Value Chain Impact

The impact of SRROs and CRROs is increasingly being felt across LBF's value chain, necessitating transformation in both our upstream and downstream operations to ensure long-term sustainability and resilience.

3.2.1 Upstream Value Chain

In the upstream segment, key functions such as product development, credit assessment, and business partner engagement undergo significant adaptation. With rising environmental volatility and evolving risk profiles, our financial products, particularly the lending portfolio, must now reflect considerations like climate vulnerability and regional exposure.

To address this, we are enhancing our data and analytics capabilities to incorporate geospatial risk mapping, localised climate patterns, and socio-economic vulnerability indicators into our credit and product design processes.

Additionally, our funding and investment decisions are being increasingly influenced by climate-related financial disclosures, interest rate risk, credit exposure, and geopolitical instability, requiring a robust approach to investment risk assessment and portfolio rebalancing over the medium to long-term.

3.2.2 Downstream Value Chain

The downstream operations comprising customer interaction, service delivery, and collection strategies are facing a highly dynamic and disruptive environment. Health and safety risks for our field staff, particularly due to air pollution, extreme temperatures, and unpredictable weather events, are increasingly evident. These risks have prompted us to invest in digital service models that reduce physical dependency and enhance customer convenience.

Simultaneously, changing customer expectations driven by digital familiarity and climate awareness demand more personalised, responsive, and sustainable financial solutions. To meet this need, we are redesigning engagement strategies to leverage mobile channels, self-service tools, and environmentally conscious branding.

As LBF evolves to meet future challenges, we remain committed to strengthening our entire value chain from product innovation to customer delivery with resilience, sustainability, and long-term impact at the core.

3.3 Addressing Climate-Related Risks and Opportunities in Strategy and Decision-Making

At LBF, our strategic planning and financial forecasting have been increasingly shaped by the evolving landscape of SRROs and CRROs. As a licensed finance company operating within a highly dynamic economic and environmental context, we understand the urgency of embedding climate resilience into our core business strategy.

Within our three year strategic plan, management conducted a thorough evaluation of material SRROs and CRROs. These assessments informed of a realignment of our strategic pillars to better the Company in responding to climate and sustainability challenges while leveraging emerging opportunities.

DESIGNING STRATEGIES FOR LONG-TERM SUSTAINABILITY

GRI: 2-22

STRATEGY 01

S 1 Sustainable Growth - Long-term Value Creation

Why Does it Matter?

'Sustainable Growth' drives long-term stakeholder value by integrating financial objectives with social and environmental responsibility. This approach defines success beyond short-term profits, measuring contributions to a sustainable future and fostering resilience against market and environmental shifts. Furthermore, it ensures business thrives responsibly, creating a positive legacy for future generations, society, and the planet.

Material Theme

MT 1 | MT 2 | MT 3 | MT 5

Related Stakeholders

Capitals Impacted

FC | MC | IC | HC

SDGs Impacted

8

SRROs and CRROs Impacted

SR 01 | CR 4

Trade-off and Business Model Shift

Trade-off

Balancing short-term financial performance with long-term sustainability goals requires investing in sustainable technologies and practices. While this may impact immediate profits, such investments are crucial for building long-term resilience and creating lasting value.

Business Model Shift

Integrating sustainability transforms the core business model by expanding its focus beyond profit alone to include environmental and social value. This requires fundamentally re-evaluating operations, products, and partnerships to ensure growth benefits people and the planet long-term.

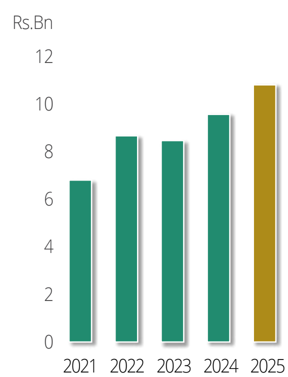
Year in Review

- Net interest income recorded a growth of 3.19% Year on Year (YoY) to Rs. 25.12 Billion in Financial Year (FY) 2024/25 (page 132)
- Profit after Tax for 2024/25 increased to Rs. 10.80 Billion, surpassing the previous year's Rs. 9.56 Billion by 12.99% YoY (page 133)
- Total assets reached Rs. 240.89 Billion as of 31 March 2025, recording a 19.15% increase YoY (Rs. 202.17 Billion in 2023/24)
- We distributed 8.06% (2023/24: 7.13%) of the value created to investors through the payment of dividends (page 480)
- LBF achieved significant growth in FY 2024/25, recording a 38% growth in market capitalisation (14% in 2023/24) and a Rs. 19.50 Earnings Per Share (EPS) compared to the previous year (Rs. 17.26 in 2023/24)
- LBF successfully expanded its branch network by 10, bringing the total number of branches to 216. Among the new openings, 03 branches were established in the North and East, further strengthening our market presence and supporting sustainable growth (page 142)
- The adoption of new systems, system upgrades, and digitalisation has improved our efficiency, enhanced productivity, and strengthened customer experience. Leveraging technology provides a competitive advantage, enabling us to stay ahead in the market and ensure long-term sustainability (page 172)

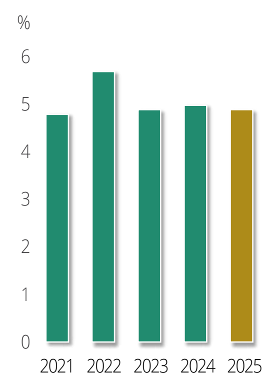
Resource Allocation

Strategic allocation of intellectual and human capital, fuelled by investment in employee development and innovation, drives efficient, sustainable growth. Our commitment to sustainability ensures this progress also meets environmental and social responsibilities. This balanced approach directly translates to stronger operations, enhanced resilience, and a sustained competitive advantage.

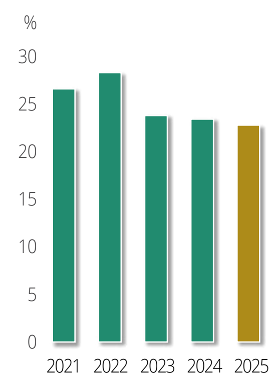
Profit After Tax



Return on Assets



Return on Equity



ESG Impact and Compliance

Environmental	Social	Governance
Digitalisation and system upgrades, incorporating eco-friendly technologies including digital transactions and paperless processes, enhance resource efficiency, minimise waste, and foster environmental sustainability and business growth.	Strategic expansion allows us to drive inclusive growth - creating jobs, supporting community development, promoting social responsibility, which in turn underpins long-term stability and equitable stakeholder value.	By strengthening governance to ensure transparency, ethics, and accountability, and adhering to relevant frameworks, we foster sustainable revenue growth. This nurtures a stable, resilient business model designed to create enduring value for all stakeholders.

Looking Ahead

Focus	Anticipated Outcomes
Expand market presence and diversify offerings	Achieved stable business growth, increased market share, and expanded revenue streams
Focus on innovation and technology adoption	Created competitive advantages, supported sustainable revenue growth, and expanded business opportunities
Strategically deploy capital into growth sectors while optimising asset performance	Improved cash flow quality via targeted investments in high-potential sectors to support higher valuations and drive sustained growth

STRATEGY 02

S 2 Customer Centricity - Market-leading Customer Experience

Why Does it Matter?

'Customer Centricity' focuses on understanding needs and delivering personalised solutions, nurtures trust, loyalty, and lasting relationships. This engagement directly drives satisfaction, sparks innovation, and fuels sustainable business growth.

Material Theme

MT 1 MT 5

Related Stakeholders

Capitals Impacted

FC IC HC

SDGs Impacted

5 7 8 10 13

SRROs and CRROs Impacted

SR 01 SR 03

Year in Review

- We made significant strides in creating great customer experiences during 2024/25, demonstrated by:
  - Net promoter score reaching 41%
  - Increase in customer queries
  - A 4.4 out of 5 rating for our LB CIM app (page 32)
- As of 31 March 2025, customer deposits totalled Rs. 138.49 Billion, an increase of Rs. 15.68 Billion from the previous financial year (page 224)
- Accelerated digitalisation by deploying agile solutions, enhancing the simplicity, speed, and efficiency of our operational processes and service delivery (page 181)
- Empowered local enterprises by expanding our rural branch network and offering tailored business financing solutions, enabling them to upgrade infrastructure and scale their operations (page 142)
- Gold Loan granted for women empowerment through 'Vanitha Ran Saviya' Rs. 84,374 Million which offered customised financial solutions designed to foster their business growth and personal development (page 231)
- In partnership with NEDA, we promoted financial literacy by launching district-wise SME workshops, reaching over 160 participants with expert-led sessions aimed at enhancing SME capabilities and growth (page 204)
- Empowered customers to identify and avoid illegitimate financial transactions by explaining the dangers and highlighting the security benefits of legitimate financial services (page 180)

DESIGNING STRATEGIES FOR LONG-TERM SUSTAINABILITY

Trade-off and Business Model Shift

Trade-off

Prioritising long-term relationships and customer privacy over short-term gains is fundamental, rooted in our belief that customer-centric pricing ultimately builds sustainable long-term value.

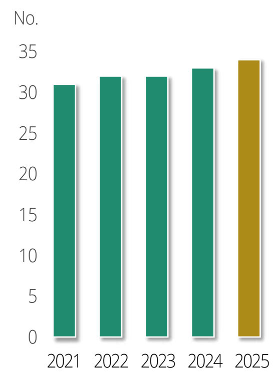
Business Model Shift

Embracing customer centricity is a strategic choice to elevate long-term relationships and trust over short-term financial targets. Our pricing and engagement strategies reflect this, built on the belief that they foster loyalty and yield sustainable returns, ultimately establishing customer relationships as the primary driver of our success.

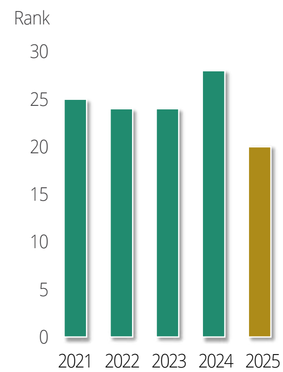
Resource Allocation

By investing financial and human capital in customer-focused initiatives, increasingly delivered via digital channels for personalisation and accessibility, we build loyalty, satisfaction, and trust. This ongoing engagement strengthens relationships and drives retention, enhancing the overall customer experience and our brand reputation.

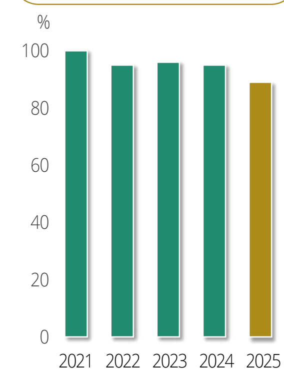
Financial Solutions



Brand Ranking



Customer Complaint Solution



ESG Impact and Compliance

Environmental

Minimising environmental impact by leveraging digital solutions, offering eco-friendly products, and promoting sustainable customer interactions.

Social

Fostering inclusivity, trust, and loyalty by prioritising customer well-being, ensuring accessibility, and engaging positively with communities.

Governance

Upholding transparency, ethical decision-making, and robust data protection to build customer trust and enhance service quality.

Looking Ahead

Focus	Anticipated Outcomes
Simplify customer journeys	Reduced escalations and pain points, driving enhanced customer experience and satisfaction
Strengthen end-to-end security controls	Enhanced customer safety through reduced fraud/scam incidents, building trust and strengthening brand reputation
Customer journeys with predictive analytics, generative AI	Improved customer experience via personalised, proactive engagement, leading to increased retention and deeper customer connection

STRATEGY 03

S 3 Digital Leadership - Innovative Digital Transformation

Why Does it Matter?

'Digital Leadership' drives our competitive edge through streamlined operations, enhanced customer experiences, and greater efficiency, while fostering agility, data-driven insights, innovation, and new revenue streams essential for long-term growth and industry leadership.

Material Theme

MT 2 MT 5

Related Stakeholders

Capitals Impacted

FC MC IC HC

SDGs Impacted

8 10

SRROs and CRROs Impacted

SR 01 SR 03 CR 04

Trade-off and Business Model Shift

Trade-off

Digital leadership involves balancing the allocation of resources between immediate operational needs and long-term digital innovation. By managing these trade-offs, we ensure business continuity and competitive growth, driving resilience and adaptability for future success.

Business Model Shift

Our customers are increasingly moving online for products, services, and support. To meet them where they are, we are strategically shifting our resources to accelerate digital growth. We are managing this change thoughtfully, considering employee morale and ensuring we maintain vital face-to-face connections with clients in specific local markets.

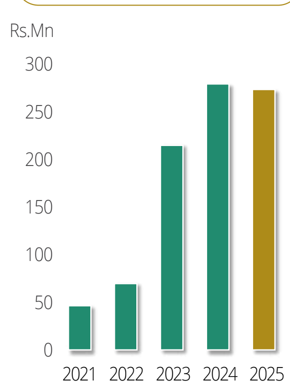
Year in Review

- LB CIM app customer base grew by 73% YoY, demonstrating increasing adoption of our digital channels (page 181)
- Continued to enhance digital servicing capabilities by automating numerous processes previously requiring branch visits or direct human interaction, offering greater convenience (page 190)
- Digital transaction value in the LB CIM app surged 124% YoY, with number of transactions rising 33% YoY (up 19% in 2023/24)
- Our digital transformation accelerated in 2024/25, with significant transactions moving online. Over 180% of Fixed Deposits opened, 114% of Gold Loan top-ups, and 46% of loan and lease payments were processed digitally, showcasing a clear shift towards convenient, paperless financing (page 222)
- Significant investment in our data capabilities enables us to leverage big data and AI through skilled analytics teams, driving insights and pursuing data commercialisation opportunities (page 179)
- Strategic collaborations with technology and security partners, coupled with insights from industry events and expert threat intelligence, fuel our digital innovation pipeline. This external engagement allows us to rapidly assess and adopt emerging technologies, anticipate future threats and opportunities, and continuously refine our digital transformation strategy for sustained leadership

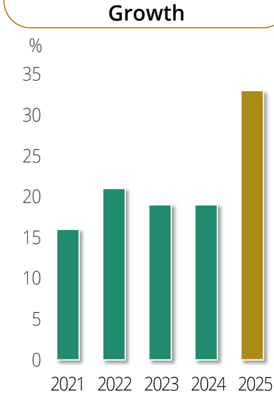
Resource Allocation

Driving digital leadership requires strategic investment of financial capital in advanced technology, digital platforms, and data analytics, alongside cultivating human capital to foster a skilled, innovative workforce. These synergistic investments streamline operations, embed a data-driven culture, and unlock efficiency gains. Ultimately, this digital leadership enhances adaptability, sharpens customer focus, secures sustainable growth, and bolsters profitability and operational resilience.

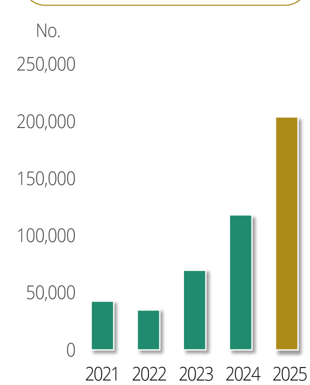
Investment on IT



Digital Transactions Growth



CIM App Downloads



DESIGNING STRATEGIES FOR LONG-TERM SUSTAINABILITY

ESG Impact and Compliance

Environmental

Adopting digital solutions to drive resource reduction, improve energy efficiency, and advance sustainability initiatives, significantly lower our operational environmental impact.

Social

Promoting digital inclusivity and enhanced accessibility to serve all customers effectively, while cultivating innovation for diverse community benefit and maintaining strict data responsibility.

Governance

Reinforcing organisational integrity through increased transparency, adherence to ethical principles, and stringent data security measures, ensuring digital solutions comply with governance frameworks to build stakeholder trust and increase accountability.

Looking Ahead

Focus	Anticipated Outcomes
Leverage data-driven insights	Leverage advanced analytics for data-driven insights, enabling faster decision-making, proactive customer assistance, greater operational efficiency, and highly targeted offerings
Implement cutting-edge technology	Deploy innovative technologies to enhance user convenience and overall experience, ensuring a competitive edge and attracting a wider customer base
Strengthen customer trust with data protection	Strengthen customer confidence and foster loyalty through robust data security protocols and consistently transparent practices
Foster digital inclusivity	Increase market reach and engagement by offering accessible digital solutions tailored to diverse customer needs, reinforcing our brand's commitment to social responsibility

STRATEGY 04

S 4

Positive Impacts - Thriving Business with Sustainable Impact

Why Does it Matter?

To create sustainable socio-economic development and long-term value, we strategically align our purpose with action. Adhering to UN SDGs and ESG guidelines ensures our operations deliver 'Positive Impact' for all stakeholders and contribute to progress for future generations.

Material Theme

MT 4 MT 5

Related Stakeholders

Capitals Impacted

FC HC SRC

SDGs Impacted

5 7 8 10 13 16

SRROs and CRROs Impacted

SR 01 CR 04

Year in Review

Purpose-driven programme of work

- Investing in solar energy - Expanded our solar energy programme to 40 branches, increasing to 162 kW capacity. This significantly boosts energy efficiency and reduces our reliance on fossil fuels (page 106)

- Reviving marine ecosystems - Partnered with NARA Sri Lanka to launch the "Colour Fish Project" and support vital coral ecosystem restoration in Devinuwara. We also extended our coastal care through the "Beach Caretaker" programme at Crow Island and Wadduwa in collaboration with MEPA (page 217)

Reducing our carbon impact (do less harm)

- Community-driven reforestation - Collaborated with the Forestry Department of the University of Sri Jayawardenepura on key reforestation and mangrove planting projects. Additionally, integrated tree planting into 5 branch openings, directly contributing to emission reduction and ecological health (pages 215 - 216)

- Sustainable development finance : Launched dedicated solar power loans, granting 13 loans in FY 2024/25 to support renewable energy adoption. Encouraged sustainable transport options by growing our electric and hybrid vehicle leasing portfolio to Rs. 7,351 Million. (page 116)

Trade-off and Business Model Shift

Trade-off

We recognise the inherent trade-off between driving socio-economic progress and preserving environmental integrity. While we invest in uplifting communities and accelerating economic development, we are equally mindful of the environmental costs that may arise. Our sustainability strategy is built around managing this delicate balance maximising social impact and economic opportunities, while actively mitigating environmental risks.

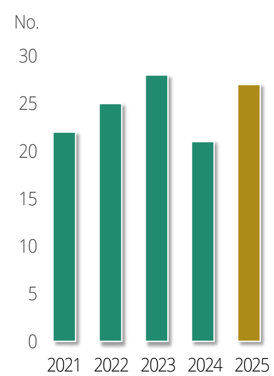
Business Model Shift

This represents a fundamental shift in how we operate, moving to intentionally integrate socioeconomic development with environmental sustainability. Unlike traditional models that often-prioritised profit, sometimes overlooking environmental or social costs, our approach now strategically balances economic progress, community well-being, and environmental responsibility. The objective is to ensure our core business activities create positive, lasting impacts across all three dimensions.

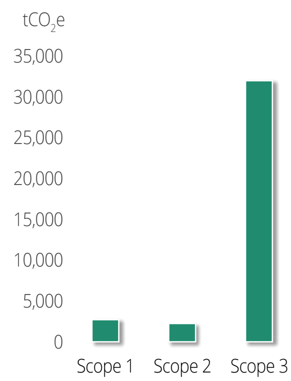
Resource Allocation

We strategically invest Financial, Natural Capital and Human Capital to drive initiatives that create integrated social, environmental, and economic value. By focusing on sustainability, community engagement, and innovation, we address climate change, champion social justice, and strengthen governance. This purposeful allocation delivers measurable positive impacts, builds stronger stakeholder relationships, and secures long-term value for both our business and society, empowering our teams to achieve our sustainability and social responsibility commitments.

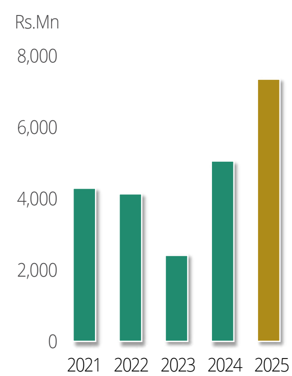
CSR Projects



GHG Emission



Green Financing



ESG Impact and Compliance

Environmental

Mitigating our environmental impact by reducing carbon emissions, optimising resource use, and championing eco-friendly initiatives to promote long-term ecological health.

Social

We are dedicated to advancing social progress by empowering communities, embracing diversity, and advocating for fairness. Our efforts focus on creating inclusive opportunities, ensuring fair access to our services, and launching programmes that uplift well-being and bridge social disparities.

Governance

Ensuring robust governance by upholding the highest ethical standards, maintaining transparency in decision-making, and driving accountability across the organisation. This builds stakeholder trust and fosters sustainable, positive outcomes for business and society.

Looking Ahead

Focus	Anticipated Outcomes
Collaborate with key stakeholders	Building stronger partnerships to achieve shared sustainability targets and deliver lasting socio-economic benefits
Prepare for Climate Risk Stress Test (CRST)	Advanced climate risk management framework for improved stress test preparation and enhanced long-term resilience
Enable sustainable development finance	Continuing to invest in sustainable finance solutions to empower customers' transition journeys and generate positive impact through targeted funding
Execute ESG tech initiatives	Integrating advanced technology to drive ESG progress, speed the adoption of sustainable practices, and improve operational efficiency

STRATEGY 05

S 5 Empowering People - Empowering Creativity and Driving Innovation

Why Does it Matter?

Our people-centric culture is a key strategic advantage. We nurture diversity, equity, and inclusion (DEI) to fuel innovation and create a dynamic, future-ready workplace. Moreover, we recruit and develop individuals with the expertise and interpersonal skills essential for our relationship-driven business, while remaining deeply committed to employee health and well-being, especially amid current socioeconomic challenges.

Material Theme

MT 2 MT 4

Related Stakeholders

Capitals Impacted

FC IC HC

SDGs Impacted

5 8 10

SRROs and CRROs Impacted

SR 02 CR 04

Year in Review

- Invested Rs. 21.70 Million in comprehensive training and development, significantly upskilling our workforce through targeted leadership, skills, and learning programmes (page 158)
- A total of 53,845 training hours were dedicated to developing employees' skills and nurturing future leaders (page 158)
- Equipped employees with critical skills in AI and cybersecurity through targeted training, building a future-ready, digitally adept workforce (pages 179 - 181)
- Delivered 05 targeted training sessions, sharpening employees' product knowledge to ensure exceptional customer service delivery (page 224)
- Hosted 17 events focused on employee engagement, fostering a more connected, motivated, and collaborative workforce (pages 163 - 167)

Resource Allocation

Strategically investing financial and human capital in digitally enabled employee training and engagement directly enhances productivity, deepens engagement, and strengthens our brand reputation. This commitment to continuous development nurtures an innovative culture, promotes diversity of thought, and significantly builds our intellectual capital.

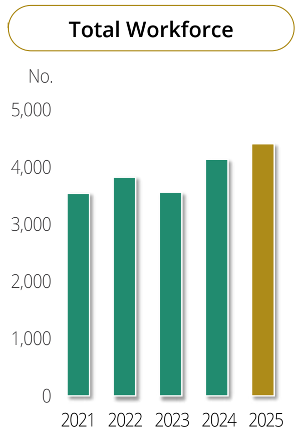
Trade-off and Business Model Shift

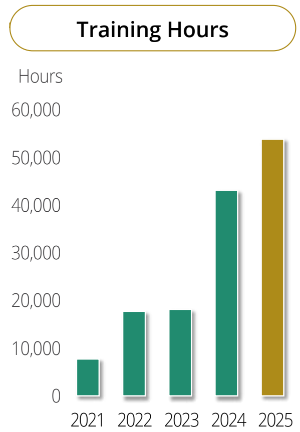
Trade-off

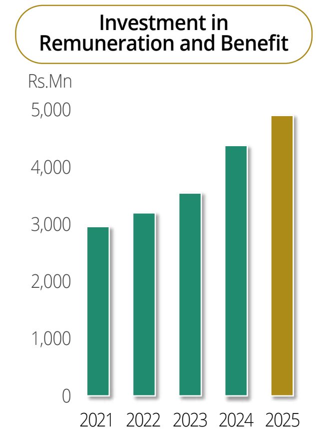
Digitisation and automation are streamlining operations, reducing the need for traditional administrative staff (human capital). To thrive digitally, we are investing heavily in reskilling and acquiring new expertise (human and intellectual capital), driven by our adoption of digital innovation (manufactured and intellectual capital). Consequently, we face heightened cost pressures due to the market scarcity and higher expense associated with these essential digital skills.

Business Model Shift

Digitisation and automation are fundamentally changing our operational needs, reducing reliance on traditional roles while demanding a digitally proficient workforce. This transformation requires strategic investment in training and development to nurture scarce, high-value digital skills, positioning us for sustained success in an increasingly digital world despite the associated cost pressures.







ESG Impact and Compliance

Environmental	Social	Governance
Implementing sustainable work practices, including waste reduction and energy efficiency, to create a greener, more resource-conscious workplace.	Building an inclusive and diverse workforce on a foundation of equal opportunity for advancement and leadership, coupled with strong support for employee well-being and healthy work-life integration.	Ensuring fair labour standards, ethical leadership, and transparent development processes to foster trust and boost employee engagement.

Looking Ahead

Focus	Anticipated Outcomes
Build future-ready skills by investing in continuous learning and development.	Develop scarce skills internally to reduce external talent dependency
Nurture an inclusive and diverse high-performing team to drive innovation and collaboration.	Drive business growth and secure a competitive advantage by fostering creativity and enabling innovation across the organisation
Review and optimise people structures to ensure alignment with evolving business goals and strategic priorities.	Build a diverse, adaptable workforce aligned for efficient execution of strategic goals

STRATEGY 06

S 6 Risk Management and Governance - Building Resilience and Ensuring Integrity

Why Does it Matter?

Robust 'Risk Management and Governance' are critical to protecting our long-term success, reputation, and stakeholder trust. We embed these practices enterprise-wide to ensure compliance, mitigate risks effectively, and maintain operational resilience. This focus guarantees ethical operations, proactive risk handling, regulatory alignment, and supports sustainable, responsible business growth.

Year in Review

- Reinforced governance frameworks by integrating enhanced risk management processes aligned with industry's best practices (page 250)
- Implemented rigorous controls to guarantee adherence across the full spectrum of current and emerging regulations
- Enhanced proactive risk management by expanding monitoring to cover key emerging risks such as cybersecurity threats and climate impacts (page 339 - 344)
- Empowered employees through targeted training sessions on risk management and governance, strengthening their ability to effectively identify and mitigate risks

Resource Allocation

Intellectual and human resources allow us to integrate robust risk management and governance throughout our operations. We invest specifically in assessment tools, compliance initiatives, governance structures, and employee training to proactively manage risks, maintain high ethical standards, safeguard our business, and ensure adherence to best practices at every level.

Material Theme

MT 3

Related Stakeholders

Capitals Impacted

FC IC HC

SDGs Impacted

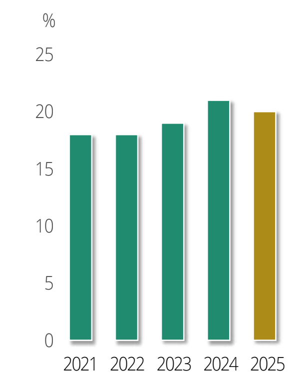
8 16 17

SRROs and CRROs Impacted

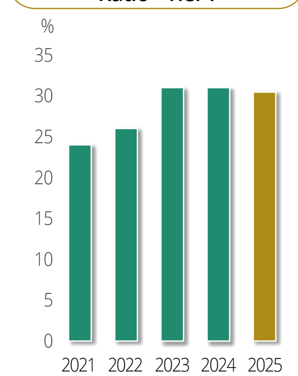
SR 01 SR 02 SR 03 SR 04

CR 01 CR 02 CR 03 CR 04

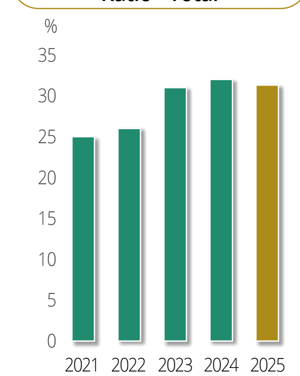
Liquid Assets Ratio



Capital Adequacy Ratio - Tier I



Capital Adequacy Ratio - Total



Trade-off and Business Model Shift

Trade-off

Effective risk management and robust governance frameworks are critical to ensuring business resilience and long-term sustainability. However, developing and maintaining these systems requires significant investment in time, expertise, and resources. The challenge lies in striking an optimal balance, implementing controls that are sufficiently resilient to address evolving risks such as cybersecurity threats and climate-related disruptions, while maintaining operational agility and cost-efficiency.

Key Business Model Shift

Increasing complexity necessitates a strategic shift, embedding robust risk management and governance into the fabric of our organisation. This involves fostering a pervasive culture of compliance, proactively identifying and managing risks early, and aligning governance frameworks with top international standards. Leveraging technology streamlines risk assessment and reporting, fundamentally improving transparency, and driving more effective decision-making Company wide.

ESG Impact and Compliance

Environmental	Social	Governance
Embedding environmental risks, including climate change and resource scarcity, into our risk governance framework and business operations to ensure organisation-wide sustainable practices.	Upholding social responsibility by embedding fair labour practices, diversity, and inclusion into risk and governance frameworks, and adopting transparent governance to boost employee engagement and well-being.	Building stakeholder trust and long-term value by grounding our governance in ethical leadership, transparent decision-making, and accountability, alongside proactive risk management aligned with corporate best practices.

Looking Ahead

Focus	Anticipated Outcomes
Invest in advanced technologies for risk assessment and reporting	Enhanced risk visibility directly leads to sharper decision-making and improved operational agility
Enhance employee awareness and training in risk management and governance	Empowered workforce with heightened risk awareness, better equipped to proactively identify and mitigate risks at all levels
Foster a culture of governance, transparency, and ethical decision-making	Increased stakeholder trust grounded in proven business integrity and regulatory compliance

4. OUR CLIMATE STRATEGY

We have an opportunity and responsibility to plan for and respond to impacts that climate-related risks and opportunities will have on us and our communities in the short, medium and long-term. With climate elevated as a priority in our sustainability strategy, our intent is clearly defined, and our journey is underway.

We have clarified and articulated our purpose and values, defined strategic pillars and set up our organisation to ensure dedicated efforts to sustainability. Our 2050 net zero commitment is one of the key strategic milestones for climate change and we have developed medium-term targets related to our own emissions and our financed emissions.

A finite global carbon budget underscores the urgent need for prompt action to mitigate climate change, highlighting the need for immediate and significant measures to avoid more drastic interventions later. To limit global warming to well below 2°C, aiming for 1.5°C above pre-industrial levels, we must achieve net zero emissions. This requires peaking global emissions by 2030 and achieving rapid reductions towards net zero by 2050, in line with the Paris Agreement's goals. Such efforts demand unprecedented global collaboration, innovative energy solutions, and a collective shift toward sustainable practices and policies.

We continually assess the impact of climate-related risks and opportunities on our businesses, strategy, and financial planning. We evaluate how we can future-proof our company as well as our customer and communities to be resilient in the short, medium and long-term.

Strategy	Promoting Sustainability Decarbonisation Efforts	Lead the Transition to Green Solutions	Enhance Climate Risk and Governance Processes	Engage Our Stakeholders
Intention	Balancing environmental care, social equity, economic growth and reducing emissions	Empower our customers to finance green solutions and adopt sustainable practices	Actively manage current and emerging climate-related risks through our Enterprise Risk Management Framework, and improve Board skill set and oversight	Engage with stakeholders on climate related topics with a systemic and integrated approach to improve awareness and overall relationships
Objectives	Commitment to reduce emissions for our lending portfolio in the fossil fuels sectors requires us to support our large, medium and small corporate customer to align with our net zero intent	Determined to leverage our strategic position to support the transition to a low-carbon economy	Aim to be an active force for good in everything we do, with an explicit focus on managing climate change, biodiversity risks and opportunities	Provide financing solutions that promote the adoption of digital approach by making more accessible and flexible

Strategy	Promoting Sustainability Decarbonisation Efforts	Lead the Transition to Green Solutions	Enhance Climate Risk and Governance Processes	Engage Our Stakeholders
Actions	• Promoting customers to go for electric and hybrid vehicles • Introduced and encourage solar loan facilities • Constructing green branch for the business operation Refer pages 115, 116	• We digitised the back-end and front-end system to low carbon business operation • Promoted LB CIM app for green financing solutions Refer pages 116 - 117	• Following GHG protocols to calculated scope 3 finance emission • Follow the recommendations of the TCFD and continue to enhance our reporting on climate-related risks and opportunities Refer pages 83, 110	• Developed innovative products that empower LBF digital loan customers to leverage the equity in their business to finance sustainable solutions. Refer pages 190
Future	Sustainability-linked finance, green deposits, financing of climate-related products for individual client base	Alignment with the SDGs across the various green and social bond and loan categories	Accelerate progress towards setting science-based emissions reduction targets	Assessing sustainability risks of the customer's sustainability strategy and targets

5. SUPPORTING OUR CUSTOMERS' TRANSITION

Involving clients in the LBF's sustainability journey is key in achieving our net-zero goal. Engagement with clients on their decarbonisation journeys helps to deepen relationships with our clients as we better understand their businesses. In addition to the conventional lending channels that facilitate the transition, decarbonisation empowers LBF to create and provide sustainable lending and investment solutions. As part of our commitment to supporting Sri Lankan customers in navigating the country's digital adaptation priorities, we have developed innovative digital lending, investing, and payment solutions through a single mobile platform. These solutions empower LBF customers to seamlessly manage their financial needs and transition towards green, sustainable solutions.

6. HOW WE ENGAGE WITH OUR STAKEHOLDERS CLIMATE CHANGE ADAPTATION AND MITIGATION

Our stakeholder engagement on climate-related matters is an integral part of our climate management strategy and we are committed to positive environmental and social impact on the Sri Lanka through the actions we have taken in this regard. We realise that we can play a significant part in the fight against climate change through our influence as a financial solutions provider by engaging with relevant stakeholders on climate issues.

Customers

- We communicated our goals and initiatives around climate change and offered customers sustainable finance opportunities
- We launched solar loan products supporting climate change mitigation and adaptation

Shareholders

- Sustainability Message provide through the social media channels and website addressing stakeholders including climate adaptation and mitigation

Employees

- We conducted Company -wide environmental, social and governance training with a focus on different aspects of climate change
- We engaged via sessions, Newsflash and videos in social media, and sustainability discussions.

Regulators

- We followed CBSL guidelines on sustainability and climate related risk

Refer page 315

Society and Environment

- We engaged in various climate-focused conferences and forums, including a significant discussion with the government and private agencies. Here, we addressed climate adaptation, mitigation and sustainable finance trends, challenges, and solutions relevant to world and Sri Lanka

7. CLIMATE CHANGE MITIGATION: BEYOND BUSINESS OPERATIONS

In an effort to raise awareness about climate change and its impact on local communities, we conducted a comprehensive climate mitigation programme for schools in areas most affected by climate change. This initiative, carried out under the guidance and supervision of the Western Provincial Council, aimed to educate students about the pressing issue of climate change and empower them with knowledge on how to mitigate and adapt to its effects.

The programme focused on two schools in the Kalutara District, one of the most climate-vulnerable regions in the Western Province. Yatagampitiya Kanishta Vidyala and Vivekananda Primary School, with a combined total of 150 students, were the primary participants. During the sessions, we covered critical topics such as climate change awareness, survival strategies in the face of extreme weather events, and practical actions to take during floods and landslides, which are common occurrences in these areas.

In collaboration with the Red Cross and relevant local officials, we delivered two educational sessions, engaging students with practical knowledge on how to act during emergencies. These sessions were well-received, and the students were encouraged to apply what they learned to protect themselves and their communities.

Building on this effort, we are committed to taking further steps to improve the preparedness of these schools for future climate-related challenges.

At Yatagampitiya Kanishta Vidyala, we are planning to develop sanitation facilities that will be crucial during emergencies, ensuring that students and staff have access to proper hygiene. Additionally, at Vivekananda Primary School, we aim to install direction boards that will guide the community on how to act in emergency situations, helping them navigate floods and other crises effectively.

Through these initiatives, we are not only raising awareness about climate change, but also implementing tangible solutions that can help mitigate its effects and prepare future generations to face the challenges of a changing climate.

VIDEO **14**

Scan QR code to watch Paris Agreement

VIDEO **15**

Scan QR code to understand Greenhouse Gas Emission

BEYOND 2025

<IR 3A, 4G>

STEPPING INTO THE FUTURE

LB Finance (LBF) is aligned with Sri Lanka's projected 5% economic growth for 2025. Our strategy focuses on digital transformation, sustainability, and customer-centric innovation to build long-term value and support national progress.

	Short Term	Medium Term	Long Term	
F Foster Digital Innovation	Launch upgraded mobile app with instant loans, bill payments, and AI financial advice	Integrate AI/ML into customer support and risk assessment	Establish a fully digital ecosystem offering end-to-end services	**ESG Impact:** Reduces paper, lowers energy use, promotes inclusion, and enhances trust
U Unveil New Financial Solutions	Introduce a digital or flexible loan product for youth	Launch sustainable finance and subscription-based tools	Offer blockchain payments and AI investment advisory	**ESG Impact:** Promotes green projects, digital inclusion, affordability, and transparency
T Target Sustainable Business Practices	Conduct a sustainability audit	Source 40% of energy from renewables and go paperless	Lead in sustainable finance with green bonds and funds	**ESG Impact:** Drives eco-efficiency, responsible investing, and ethical leadership
U Understand and Adapt to Market Trends	Conduct research on digital trends and behaviours	Launch trend-aligned products (e.g., sustainable finance)	Establish continuous innovation using data analytics	**ESG Impact:** Enables sustainable, inclusive solutions and transparent growth
R Revamp Customer Experience	Offer 24/7 chatbot and live support	Use AI for personalised, proactive services	Build a seamless omnichannel model	**ESG Impact:** Enables sustainable, inclusive solutions and transparent growth
E Expand Geographically	Study new regions for expansion	Enter one new market	Scale into multiple regions or international markets	**ESG Impact:** Supports local economies, ensures responsible growth, and broadens inclusion